YOU ARE ADVISED TO READ AND UNDERSTAND THE CONTENTS OF THIS PROSPECTUS. BEFORE SUBSCRIBING, PLEASE CONSULT YOUR STOCKBROKER, SOLICITOR, BANKER OR INDEPENDENT INVESTMENT ADVISER, REGISTERED BY THE SECURITIES AND EXCHANGE COMMISSION. THIS PROSPECTUS HAS BEEN SEEN AND APPROVED BY THE DIRECTORS OF PAC ASSET MANAGEMENT LIMITED AND THEY JOINTLY AND INDIVIDUALLY ACCEPT FULL RESPONSIBILITY FOR THE ACCURACY OF ALL INFORMATION GIVEN AND CONFIRM THAT, AFTER HAVING MADE ALL ENQUIRIES WHICH ARE REASONABLE IN THE CIRCUMSTANCES, AND TO THE BEST OF THEIR KNOWLEDGE AND BELIEF, THERE ARE NO OTHER FACTS, THE OMISSION OF WHICH WOULD MAKE ANY STATEMENT HEREIN MISLEADING.

"FOR INFORMATION CONCERNING CERTAIN RISK FACTORS WHICH SHOULD BE CONSIDERED BY PROSPECTIVE INVESTORS, PLEASE REFER TO "RISK FACTORS" ON PAGE 11

Abridged Particulars of the Prospectus

PACAM FIXED INCOME FUND

(Authorised and registered in Nigeria as a Unit Trust Scheme)

INITIAL PUBLIC OFFERING
OF
50,000,000
UNITS OF ₦10 EACH AT PAR

PAYABLE IN FULL ON APPLICATION

FUND MANAGER

LEAD ISSUING HOUSE

RC 986761

JOINT ISSUING HOUSE

RC 254413

APPLICATION LIST OPENS: 25 April, 2016
APPLICATION LIST CLOSES: 01 June, 2016

THIS ABRIDGED PROSPECTUS AND THE UNITS WHICH IT OFFERS HAVE BEEN REGISTERED BY THE SECURITIES & EXCHANGE COMMISSION. THE INVESTMENT AND SECURITIES ACT CAP I24 LFN 2007 PROVIDES FOR CIVIL AND CRIMINAL LIABILITIES FOR THE ISSUE OF A PROSPECTUS WHICH CONTAINS FALSE OR MISLEADING INFORMATION. REGISTRATION OF THIS PROSPECTUS AND THE UNITS WHICH IT OFFERS DOES NOT RELIEVE THE PARTIES FROM ANY LIABILITY ARISING UNDER THE ACT FOR FALSE OR MISLEADING STATEMENTS CONTAINED OR FOR ANY OMISSION OF A MATERIAL FACT IN THE PROSPECTUS

This Abridged Prospectus is dated 07 April, 2016

SUMMARY OF THE OFFER

The following is a summary of the terms and conditions of an investment in the PACAM Fixed Income Fund. Prospective investors are advised to read the entire Prospectus and the Trust Deed constituting the fund.

Investors are advised to seek information on the Fees, Charges and Operating expenses before investing in the fund.

1.	**FUND MANAGER**	PAC Asset Management Limited ("PACAM" or "the Company")
2.	**LEAD ISSUING HOUSE**	Planet Capital Limited
3.	**JOINT ISSUING HOUSE**	PanAfrican Capital Plc
4.	**TRUSTEES TO THE FUND**	Mainstreet Bank Trustees & Asset Management Company Limited
5.	**CUSTODIAN**	United Bank for Africa Plc (Global Investor Services Division)
6.	**THE OFFER**	50,000,000 Units of ₦10.00 each at par in the Fund
7.	**METHOD OF THE OFFER**	Offer for Subscription
8.	**NATURE OF THE FUND**	The Fund is a Fixed Income Fund constituted under a Trust Deed, and will invest in Fixed Income instruments. It is an Open-ended fund. As an open ended Fund, it will be opened to investors for subscription through the Fund Manager after the full subscription of the initial 50,000,000 units issued. As a result, the Fund Manager will issue additional units when required, with the consent of the Trustees, subject to the registration and approval of the Units to be offered by the Commission. The Fund will seek to achieve an efficient balance between capital appreciation and income for investors with modest risk appetite. The Fund will invest in Fixed Income securities such as FGN bonds, Sub-National Bonds, Corporate Bonds, and other fixed income market securities.
9.	**TARGET INVESTORS**	The Fund is aimed at investors who require liquidity and have a low risk appetite. It is also targeted at investors who wish to benefit from wholesale deposit return. The Fund welcomes participation from both resident and non-resident Nigerian individual and institutional investors
10.	**UNITS OF SALE**	Minimum of 1,000 Units and multiples of 100 Units thereafter
11.	**OFFER PRICE**	₦10.00 per Unit. Foreign currency subscriptions will be processed at the prevailing interbank rate at the time of subscription. Certificates of Capital Importation are eligible for issuance in respect of all successful foreign currency subscription.
12.	**OFFER SIZE**	₦500,000,000.00
13.	**PAYMENT TERMS**	In full on Application
14.	**MANDATORY SUBSCRIPTION**	5% of the Offer will be subscribed to by PAC Asset Management Limited in compliance with current regulations issued by the Commission that the promoters of unit trust schemes in Nigeria must subscribe to a minimum of 5% of the initial issue of such schemes and hold such units throughout the life of the Fund.
15.	**OPENING DATE**	25 April, 2016
16.	**CLOSING DATE**	01 June, 2016
17.	**USE OF PROCEEDS**	The Offer proceeds will be used in accordance with the Fund's investment objectives and policies. The Offer costs and expenses which are estimated at ₦14,850,000 representing 2.97% (which includes printing, distribution, and advertising expenses) shall be offset from the Offer proceeds

18.	**DIVIDEND PAYMENT**	The Fund Manager intends to declare dividends and make distributions on an annual basis from the net investment income. Unit holders may elect to receive their distribution in "cash" i.e. via electronic transfer or to re-invest their distribution by purchasing additional Units of the Fund. Distribution payment option shall be selected at the point of subscription
19.	**MINIMUM INVESTMENT PERIOD**	The minimum holding period for an investment in the Fund is 30 (Thirty) calendar days from the date of purchase. The minimum holding period commences from the Allotment Date for subscribers under the IPO of the fund
20	**REDEMPTION**	Subscribers may redeem all or part of the Units held at any time after allotment. Redemption will be paid within 5 working days after the relevant documents have been submitted to the Fund Manager. Minimum permissible holding after redemption is 1,000 units or such balance as advised by the Manager from time to time. Redemptions within 30 days from the date of subscription for Units will attract a fee in an amount equal to 10% of the positive total return of the Units being redeemed on the day of redemption.
21.	**QUOTATION**	Application has not been made to the Council of The NSE for the listing of the 50,000,000 units of ₦10.00 each at par of the PACAM Fixed Income Fund by Memorandum. However, the Fund Manager on the successful completion of the Offer, or at a later date, may seek a Memorandum Listing of the Fund on The NSE.
22	**STATUS:**	The Units qualify as securities in which Pension Assets can be invested under the 2014 Pension Reform Act and in which Trustees may invest under the Trustee Investment Act Cap T22 Laws of the Federation of Nigeria 2004
23	**OVERSUBSCRIPTION**	Any oversubscribed portion would be absorbed subject to the registration of such additional Units with the Commission
24	**INVESTMENT RISKS**	The risks associated with an investment in the Fund are set out in the section titled "Risk Factors" on page 11 of this prospectus
25	**UNDERWRITING**	At the instance of the Issuer, this Offer will not be underwritten.

26. FORECAST OFFER STATISTICS: (Extracted from the Reporting Accountants' Report)

The Fund Manager is of the opinion that subject to unforeseen circumstances and based on the assumptions stated on pages 17-18, the profit before distribution for the years ending 31st December, 2016, 2017, 2018 and 2019 will be:

Year Ending 31st December	2016 ₦'000	2017 ₦'000	2018 ₦'000	2019 ₦'000
Gross Income	71,672	101,122	145,297	204,197
Less Operating Expenses	21,549	11,488	16,288	22,688
Less: Taxation	-	-	-	-
Net Income	50,123	89,634	129,009	181,509
Less: Dividend Payments	50,123	89,634	129,009	181,509
	0	0	0	0
Opening Net Asset Value	486,739	486,739	686,739	986,739
Net Additional Investments during the Year	-	200,000	300,000	400,000
Closing Net Asset Value	486,739	686,739	986,739	1,386,739

FORECAST YIELD

	2016	2017	2018	2019
	₦'000	₦'000	₦'000	₦'000
Net Assets Value, beginning of period/year	486,739	486,739	686,739	986,739
Additions during the year	-	200,000	300,000	400,000
Net Asset Value, end of period/year	486,739	686,739	986,739	1,386,739
Increase in Net Asset Value	-	200,000	300,000	400,000
Return on Investment	10.30%	18.42%	18.79%	18.39%

27.	**GOVERNING LAW**	The Offer Documents will be governed by and construed in accordance with the laws of the Federal Republic of Nigeria.

CORPORATE DIRECTORY OF FUND MANAGER

FUND MANAGER	**PAC Asset Management Limited** 8A Elsie Femi Pearse Street, Victoria Island, Lagos, Nigeria Telephone: 01-2716896 Email: info@pacassetmanagement.com Website: www.pacassetmanagement.com	
DIRECTORS OF THE FUND MANAGER	**Chris Oshiafi** 8A Elsie Femi Pearse Street, Victoria Island, Lagos, Nigeria.	**Chairman**
	David Okwuadigbo 8A Elsie Femi Pearse Street, Victoria Island, Lagos, Nigeria	**Managing Director/CEO**
	Sina Alimi 8A Elsie Femi Pearse Street, Victoria Island, Lagos, Nigeria.	**Director**
	Toye Osungbesan 8A Elsie Femi Pearse Street, Victoria Island, Lagos, Nigeria.	**Company Secretary**
PRINCIPAL OFFICERS	David Okwuadigbo	**Managing Director/CEO**
	Sina Alimi	**Director**
	Toye Osungbesan	**Company Secretary**
	Bamidele Ige	**Head of Investments and Operations**
	Lanre Bakare	**Financial Controller**
INVESTMENT COMMITTEE MEMBERS	Sam Onunkwe David Okwuadigbo Sina Alimi Bamidele Ige Gana Bitrus Bunkana	**Independent Member** **Representative of Trustee**

THREE YEARS FINANCIAL SUMMARY OF THE FUND MANAGER

EXTRACT OF STATEMENT OF FINANCIAL POSITION

	As at April 30, 2015	As at April 30, 2014	As at April 30, 2013
ASSETS & LIABILITIES			
Total Assets	**3,141,154**	**2,225,781**	**2,101,528**
Total Liabilities	2,933,070	2,020,344	2,132,453
Total Assets less Liabilities	208,084	205,437	(30,925)
EQUITY			
Share Capital	250,000	250,000	21,000
Retained Earnings	(41,916)	(44,563)	(51,925)
SHAREHOLDERS' FUND	**208,084**	**205,437**	**(30,925)**

EXTRACT OF INCOME STATEMENT

	For the year ended April 30, 2015	For the year ended April 30, 2014	For the year ended April 30, 2013
Interest income	217,296	190,942	123,080
Interest expense	(257,354)	(186,765)	(122,001)
Net interest (expense)/income	(40,058)	4,177	1,079
Profit/(Loss) before Taxation	(4,753)	4,621	(51,925)
Taxation	7,400	2,741	-
Profit/Loss after Taxation	2,647	7,362	(51,925)

PROFESSIONAL PARTIES TO THE OFFER

LEAD ISSUING HOUSE	**Planet Capital Limited** 3rd Floor, St. Peter's House 3, Ajele Street, Off Broad Street Lagos
JOINT ISSUING HOUSE	**PanAfrican Capital Plc** 8A Elsie Femi Pearse Street, Victoria Island, Lagos
TRUSTEES TO THE FUND	**Mainstreet Bank Trustees & Asset Management Company Limited** 94, Broad Street (4th Floor) Lagos Island, Lagos
SOLICITORS TO THE TRUSTEES	**Tokunbo Orimobi & Co** 5th Floor, 72 Broad Street, Lagos
REPORTING ACCOUNTANTS	**Alatta Nzewi Oyeka & Co (Chartered Accountants)** No 1, Oyediran Street, Off Bode Thomas, Surulere, Lagos
REGISTRAR	**PAC Registrars Limited** 122, Bode Thomas Road Surulere, Lagos
CUSTODIAN	**United Bank for Africa Plc** **(Global Investor Services Division)** UBA House (12th Floor) 57 Marina, Lagos
RECEIVING BANKER	**Skye Bank Plc** Plot 3, Akin Adesola Street, Victoria Island Lagos **Heritage Bank Limited** 292B Ajose Adeogun Street Victoria Island, Lagos

NATURE OF THE FUND

The PACAM Fixed Income Fund is an open-ended fund authorized and registered in Nigeria as a Unit Trust Scheme under Section 160 of the Investment and Securities Act No 29, 2007. The Fund is governed by a Trust Deed with Mainstreet Bank Trustees & Asset Management Company Limited as Trustees to the Fund. The Fund is offering 50,000,000 units of ₦10 each at par as the initial subscription to the public.

As an open-ended Fund, Units of the Fund will be continuously offered to investors, with the Fund manager standing ready to redeem units of the fund all through the duration of the trust deed constituting the fund.

THE INVESTMENT OBJECTIVES OF THE FUND

The objective of the Fund is to generate a steady return on capital and assured liquidity for all classes of investors. The Fund's investments will mostly be in long tenured debt instruments of the FGN, States and highly rated corporate institutions. The Fund may also invest its assets in money market securities such as Treasury Bills, Commercial Papers, Bankers Acceptances and Certificate of Deposits with rated banks in Nigeria; This strategy will be used only when bond or fixed income instruments appears underpriced using fundamental interest rate and yield curve analysis.

The Fund Manager would invest funds in such a manner as to ensure long term capital appreciation, capital preservation and generate a stable stream of income and assured liquidity to investors. In addition, the Fund Manager would seek, at all times, to attain a return above the prevailing inflation rate.

The Fund Manager would monitor all exposures keenly and seek preservation of the investment ahead of possibilities of high returns.

In summary, the Fund Manager would always seek to maximize risk-adjusted return of the investments.

INVESTMENT STRATEGIES

The Fund Manager strictly adheres to the 'Prudent Man' rule in making investment decisions and will bring that to bear in managing the fund. This rule requires that person(s) charged with the responsibility of making investment decisions on behalf of others should act with prudence, discretion, intelligence and regard for safety of capital as well as income.

It will adopt a bottom up approach that will examine the fundamentals of securities in which it will invest. It will make investments in securities and assets only where it sees discount to intrinsic value.

The Fund will therefore pool monies together to achieve competitive returns while minimizing risk. The Fund is aimed at investors who are interested in the following fixed income instruments and are looking to achieve higher returns from such investments that are ordinarily not obtainable with minimal funds:

- **Bonds**: The fund will invest mostly in bonds with high yields which include both FGN and State Bonds. This would reduce the impact of the effect of mark-to-market in the funds overall performance.
- **Other Fixed Income securities**: The fund would seek out the best rate relative to risk available in the market amongst Federal Government Treasury Bills, CBN approved banks and blue-chip corporate Bonds. It is expected that the Fund Manager would be able to obtain high yields and better terms than any individual investor would be able to obtain on their own.

ASSET ALLOCATION STRATEGY

The fund manager has established target weightings of asset classes aimed at achieving the long term investment objectives of the fund. These target weightings fall within asset allocation bands for each asset class which has been provided to absorb the effects of shocks in the market and to provide flexibility of allocation to the fund manager.

	Weighted (%)		
Instrument Asset Class	**Lower Limit (%)**	**Upper Limit**	**Target Weight (%)**
FGN Bonds	30	60	40
Sub National Bonds	10	35	20
Corporate Bonds	15	40	25
Other Fixed Income Securities	15	65	15

It is the duty of the Fund Manager to ensure that the Fund's Assets are allocated in consonance with the Asset Allocation Framework in its bid to achieve the Funds objectives. The Asset Allocation Framework is based on the principle that specific asset classes have different investment characteristics and, as such, the fund's assets must be diversified to achieve the primary objective of the fund.

The Fund Manager will hold varying amounts of cash in the normal course of managing the Fund, but not exceeding 5%.

INVESTMENT POLICY

The Fund seeks to ensure capital preservation and wealth maximisation for the Unitholders. Investments would be made in the best available opportunities, while considering acceptable risk parameters, the provisions of the Trust Deed and the SEC Rules and Regulations.

Determination of required returns for the Unitholders' wealth maximisation, along with other factors, is dependent upon certain key macro-economic indicators and comparable investment returns available in the market. Determination of risk parameters involves qualitative as well as quantitative analyses including comparison among the various instruments, volatility of the available returns on these instruments and macroeconomic indicators.

In line with the investment objectives, the investment policy of the Fund is to maintain an investment mix which optimizes the returns through active fund management. In order to achieve the parameters set by aforementioned policy, the Fund Manager shall determine or alter the investment mix of the portfolio from time to time keeping in view particular sector or company developments.

INVESTMENT COMMITTEE

The Investment Committee shall meet to review the performance of the Fund periodically. The Committee's responsibilities shall include among others the following stated below:

- Oversight of the Fund's investment management activities.
- Ensuring adherence to the Fund's investment policy as set out in the Trust Deed and other statutory regulations.

The Investment Committee shall consist of the following:

- Sam Onunkwe - Independent Member
- David Okwuadigbo - Managing Director
- Sina Alimi - Director, PAC Asset Management Limited
- Bamidele Ige - Portfolio Manager
- Gana Bitrus Bunkaya - Representative of Trustee

INVESTMENT MANAGEMENT

The PACAM Fixed Income Fund shall be managed by a team of professional portfolio managers, whose responsibilities to the Fund among others shall be as follows:

- Exercise due diligence and care in deploying the Fund's assets
- Apply investment discretion in the decision to buy, hold, or sell the Fund's assets in accordance with the investment objectives and asset allocation framework. This shall include the maintenance of adequate cash levels to meet redemption obligations
- Achieve best execution on all transactions raised on behalf of the Fund
- Undertake such other responsibilities as stated in the Trust Deed, ISA and the Rules and Regulations made pursuant to the ISA ("SEC Rules")

INVESTMENT DISCRETION

The Fund's assets shall be invested at the discretion of the Fund Manager in accordance with the Trust Deed, the objectives and asset allocation framework of the Fund.

The Fund Manager shall be responsible for all the decisions regarding the investment strategies, types, amounts, and timing of the investments to be undertaken by the Fund.

The investment strategy shall be reviewed periodically by the Fund Manager in light of prevailing market conditions and reviewed accordingly in the best interest of the Fund.

REBALANCING POLICY

The Fund Manager shall take necessary steps to ensure that the asset allocation of the Fund is in line with the requirements of the investment policy. This shall include periodic review and, as a result, actions to rebalance the portfolio.

TARGET INVESTORS

The Fund is aimed at investors who are interested in the yields offered high quality bond instruments and intend to achieve higher returns from such investments than are ordinarily obtainable.

They include:

1. Investors with low risk appetite and who do not want any exposure to equities, investors concerned with capital preservation
2. Investors who wish to reduce concentration risk by diversifying their investments, and
3. Investors who require liquidity
4. Investors who wish to benefit from attractive returns earned by the pooling together of funds to obtain better negotiating power due to scale.

The Fund welcomes participation from both foreign and non-resident Nigerian individual and institutional investors. The Fund Manager will support non-resident investors to facilitate the remittance of the net proceeds arising from a foreign currency investment in the Fund at the point of divestment, but this will be done outside of the fund.

FOREIGN CURRENCY INVESTORS

The Fund assets shall be denominated in Naira. Therefore, subscription by foreign investors to the Fund shall be converted to Naira at the exchange rate as advised by the Fund Manager's Bankers. Certificates of Capital Importation (CCI) is eligible to be issued by the Fund Manager's Bankers for Foreign investors as evidence of capital inflow into the country, and this shall be kept by the foreign investor or by the Custodian to the Fund at the investor's instance. This certificate will accord the investor the opportunity of capital and dividend repatriation at the official market rate.

INVESTMENT INCENTIVES

The Fund offers an opportunity for investors to achieve competitive returns while minimizing risk from a diversified portfolio of investments which may not otherwise be available to individual investors. It provides diversification to an investor's existing investment portfolio. In addition, investment in bonds provides a more regular and predictable income stream which may not be available in other investments

The Fund offers an opportunity to subscribe for Units on behalf of and in the name of minors. Also, with the pooling of funds, the Fund presents the advantage of enhanced bargaining powers in the financial market such as minimised transaction costs.

The fund also has the unique benefit of Liquidity since the Fund Manager is always available to redeem Units of the Fund, within the rules stated in the Fund's Trust Deed, Unitholders can redeem their Units at a processing time of 5 business days.

Lastly, Unit holdings in the Fund may be used as collateral for obtaining credit facilities from various financial institutions.

INVESTMENT RESTRICTIONS

The Fund shall invest strictly in accordance with the ISA, SEC Rules 470 and other applicable laws as stated in the Trust Deed and as approved by the Commission. In addition, the Fund Manager shall take investment decisions within the prescriptions of the investment Framework of the Fund as approved by the Investment Committee in a bid to achieve the Fund's objective. The following restrictions will, however, apply:

- Investments shall be made for trading purposes only and shall not be intended for the purpose of exercising control over the management or operating policies of issuers of securities held.
- The Fund shall not advance loans except that it may buy and hold qualifying debt instruments in accordance with its mandate.
- The Fund will not purchase securities on margin or engage in short sales of securities;
- The Fund Manager shall not invest more than 10% of the Fund's total assets in any single investment;
- The Fund shall not invest in any in-house securities of the Manager;

- No part of the Fund shall be invested in any units or securities of another collective investment scheme being managed by the Fund Manager; and
- The Fund Manager shall not invest in any securities that are not transferable.

RISK FACTORS

The Fund Manager will exercise all necessary care, diligence and prudence in investing the monies raised in the Fund and no assurance can be given that the Fund's objectives will be achieved. Therefore the Units of the Fund being held are subject to the following inherent risk factors:

Market/Interest Rate Risk: Interest rate risk is the risk that an unexpected change in interest rate will negatively affect the value of an investment. The value of the Fund's portfolio may be affected by market risks that are outside its control, including volatility in interest rates.

Company or Business Risk: This refers to the possibility that the value of the Fund could reduce as a result of unexpected changes in a company's internal operations or its immediate business environment.

Inflation Risk: This refers to the risk of loss of purchasing power due to increase in costs over time due to rising prices. The interest rate on a bond is typically set when it is issued. If there is significant inflation over the time the bond is held, the real value of the investment depreciates.

NAV Risk: Depending on its exposure to such securities, the NAV of Units issued under this Fund may change depending on various factors and forces affecting the capital markets. Moreover, there is no guarantee that the market price of the Fund's Units will fully reflect the underlying asset value of the Fund.

Credit Rating Risk: The credit ratings of the issuers of State and corporate bonds in which the Fund will invest in are an assessment by the relevant rating agencies of such issuers' ability to pay the debt obligations when due. The ratings may not reflect the potential impact of all risks related to investing in the bonds. A credit rating is not a recommendation to buy, sell or hold securities and may be revised or withdrawn by the rating agency at any time. There will still be the risk of loss due to an issuer's default or non-payment of the principal or coupon or both.

Regulatory Risk: Changes in government regulations may adversely affect the value of a security. An insufficiently regulated industry or market might also permit inappropriate practices that adversely affect an investment.

The Fund Manager will amongst other measures to mitigate risk, assess the payment ability and past history of the issuers.

SUBSCRIPTION TO THE FUND

Application to the Fund

The Fund shall be issued in Units of ₦10.00 each during the offer, subject to an initial minimum subscription of ₦10,000.00 and multiples of ₦1,000.00.

As an open-ended Fund, the entire oversubscribed portion shall be absorbed. The Fund Manager shall also create more units of the Fund from time to time as it deems fit, subject to the registration of the Units with the Commission.

Following the Offer, the Fund Manager shall issue new units for cash at the Offer Price (as determined, in accordance with Schedule VI of SEC Rules) on a valuation date following the day on which cleared funds are received.

Subsequent to the Offer, units of the Fund can be subscribed:

- From PAC Asset Management Limited (PACAM) Head Office as well as other approved channels and in such manner as the Fund Manager may from time to time advise. Completed Forms should be returned to PACAM Head Office as provided above along with a bank draft/cheque for the amount being invested.
- By downloading a Purchase Order Form from the PAC Asset Management Limited website at www.panafricancapitalplc.com or www.pacassetmanagement.com. The downloaded and duly completed form and bank draft/cheque should be sent to PACAM Head Office as provided above. Payment for units of the Fund by existing PACAM customers can also be made by wire transfer, Internet banking facilities and ATM as stated on the Subscription Form.

Subscription in foreign currency from foreign-based subscribers is also permissible. Such foreign currency amounts shall be converted to Naira at the exchange rate prevailing on the date of conversion as advised by the Fund Manager's bank.

Minimum Investment Amount

The minimum investment amount shall be ₦10,000.00 and any additional investment after the Offer shall be in multiples of ₦1,000.00. The Fund Manager however reserves the right to review these amounts as the need arises.

Fund Statement

Every Unitholder shall be entitled to receive from the Fund Manager, in electronic form, a Fund Statement for the number of units purchased by such Unitholder. The Fund Statement shall be conclusive evidence of the number of units held.

Valuation

The valuation of the Units shall be done at the close of each Business Day or such other period which the Fund Manager may advise from time to time, based on a stable net asset value per unit of N10.00 which is the price at which investors purchase or redeem their Units in the Fund. . The NAV of the Fund shall be determined on the basis of amortised cost method or as prescribed by the Commission from time to time.

Redemption And Transfer

Unit holders shall be entitled to redeem all or part of the units held by them at the Fund's NAV on any business day upon a request to the Fund Manager. Under normal circumstances, the Fund will make redemption payments within 5 Business Days of receipt of the completed Redemption Request Form.

Every Unitholder shall be entitled to transfer the Units or any of the Units held by him through the Manager in accordance with the provisions of the Trust Deed. The Manager will not transfer or redeem Units without the production of a Fund Statement relating to such Units, which must be surrendered before any transfer or redemption whether for the whole or any part thereof can be registered. Units purchased on behalf of an individual under the age of 18 years may be redeemed or transferred by the signatory or by the individual upon attaining the age of 18 years provided that such individual produces a Fund Statement and a valid international passport. Detailed transfer instructions are provided in the Trust Deed.

Units may be redeemed on any Business Day at the Bid Price per Unit, provided redemption notices are received at the offices of the Fund Manager before 5.00 p.m. on the Valuation Day. Notices received after 5.00 p.m. shall be treated on the following Business Day. Redemption price shall be as at the date of treatment. Unitholders are required to maintain a minimum balance of ₦10,000.00 except in event of total redemption of holdings. A new Fund Statement will be issued for the new number of units in case of partial redemption.

Minimum Holding Period

The minimum holding period in the Fund shall be 30 days. However, the Fund Manager is aware that investors might have need for their monies within the minimum holding period. Redemptions within 30 days from the date of subscription for Units will attract a fee in an amount equal to 10% of the positive total return of the Units being redeemed on the day of redemption. The proceeds of the redemption shall be paid into the designated account provided by the Unit holder on the subscription form. However indemnity would be required from any unit holder who wishes the Fund Manager to credit the proceeds of the investment to another designated or third party account other than the account indicated on the subscription form or any other circumstance that the Fund Manager determines to warrant such.

Income Distribution

Income will be paid from the income earned to Unit holders annually. Unit holders are required to specify on their subscription form the payment option for dividend distribution. Income can either be:

- Reinvested into the Fund and additional Units allocated to Unit holders, or,
- Credited into the Unit holders' bank accounts via electronic means as specified in the subscription forms.
- Dividend shall be distributed within 7 working days after the SEC's approval of the Fund's financial results for the financial year.

TAX INFORMATION

The Fund is structured to take full advantage of tax incentives granted by the Federal Government to unit trusts in order to allow investors maximize their after-tax returns on investment. Further to the "exemption from payment of tax" status accorded to income distribution by Unit Trusts by virtue of section 19(1)(f) of CITA, no taxes shall be or become payable by Unit Holders on income accruing to them from the Fund. However, the Fund Manager cannot guarantee continued impact of tax advantage on investors' after-tax returns in subsequent years since tax legislations are subject to changes.

MEETING OF UNIT HOLDERS AND VOTING RIGHTS

The Fund Manager shall convene an Annual General Meeting of unit holders, with the consent of the Trustees, at the end of each financial year to consider the accounts and all matters affecting the Fund as well as other general meetings as the Manager deems necessary. Each unit of the Fund carries a right of one vote in all matters requiring the decision of the unitholders. The unit confers on the unitholder exclusive participation in the returns on the assets of the Fund and a right to receive notices and vote at any General Meeting of the Fund.

CLOSURE OF THE REGISTER OF UNIT HOLDERS

The Register shall be closed before every Distribution for such periods as the Trustee may from time to time determine and upon giving to the Unitholders at least two weeks' notice of the intention to close same by publication in at least two national daily newspapers.

REPORT OF THE FUND

Copies of the audited annual reports of the Fund will be mailed to all Unit Holders at their registered addresses within three months following the financial year end of the Fund.

The Fund's fiscal year ends on December 31st of each year.

LIQUIDATION OF THE FUND

The Fund shall so subsist for the period the Trust exists in accordance with the Trust deed as approved by SEC and shall so subsist except on the occurrence of any of the following events:

(a) If the Manager believes that the investment objective of the Fund is no longer achievable.

(b) If six months after the date on which the Offer opened for subscription the value of the Fund shall be less than the minimum prescribed by SEC, the Manager may with the consent of the Trustee, (which shall not be unreasonably withheld), terminate the Trust on a date to be agreed between the Trustee and the Fund Manager subject to the approval of the Commission.

(c) If any law is passed or regulations or decision of a court of competent jurisdiction or government policy is made which in the judgment of the Fund Manager and/or the Trustee renders it illegal or impractical to continue the Fund.

(d) If the Commission revokes the authorisation of the Fund in accordance with the provisions of section 163 of the ISA.

(e) If at any meeting held in accordance with the provisions of the Trust Deed, it should be resolved by Special Resolution to determine the Trust on a date specified in such Special Resolution (being a date not earlier than three months after the date of the Resolution) the Trust shall accordingly be determined and this Deed shall cease to be of effect.

OTHER ARRANGEMENTS

Custodial Services: United Bank for Africa (Global Investor Services) has been appointed as Custodian to the Fund's assets and, in that capacity, is responsible for ensuring holding and controlling Fund assets in accordance with directives given by the Fund Manager and Trustees in conformity with the Trust deed.

Maintenance of Register: The Registrar shall ensure transfer and settlement of the units held by the fund and will maintain the Register.

Auditing: BBC Professionals has been appointed as auditors to the Fund and, in that capacity, is responsible for providing audit services. The annual report and accounts will be prepared and submitted to the SEC and NSE on a periodic basis and circulated to Unitholders

FEES, CHARGES AND EXPENSES OF THE FUND

The following fees and expenses shall be met from the assets/income accruing to the Fund.

1. The Trustees shall be paid quarterly in arrears, a fee equal to 0.1% per annum of the Net Asset Value of the Fund
2. The fee due to the Fund Manager, calculated and payable quarterly in arrears equal to 1% per annum of the Net Asset Value of the Fund exclusive of Value Added Tax.
3. The Custodian shall be paid quarterly in arrears a fee equal 0.1% per annum of the Net Asset Value of the Fund, payable quarterly.

FINANCIAL FORECAST

FORECAST STATEMENT OF COMPREHENSIVE INCOME FOR YEAR ENDED 31ST DECEMBER

	Note	2016 N'000	2017 N'000	2018 N'000	2019 N'000
Income					
FGN Bonds	1	28,231	39,831	57,231	80,431
Sub-National Bonds	2	15,089	21,289	30,589	42,989
Corporate Bonds	3	18,861	26,611	38,236	53,736
Money Market Instruments	4	9,491	13,391	19,241	27,041
		71,672	101,122	145,297	204,197
Operating Expenses					
Management fee	5	4,867	6,867	9,867	13,867
Other operating expenses	6	3,421	4,621	6,421	8,821
Issue Costs		13,261	-	-	-
		21,549	11,488	16,288	22,688
Net Income before taxation		50,123	89,634	129,009	181,509
Taxation		-	-	-	-
Net Income after taxation		50,123	89,634	129,009	181,509
Distribution to Unit Holders		50,123	89,634	129,009	181,509

FORECAST STATEMENT OF FINANCIAL POSITION AS AT 31ST DECEMBER

	Note	2016 N'000	2017 N'000	2018 N'000	2019 N'000
Current Assets					
FGN Bonds	7	194,696	274,696	394,696	554,696
Sub-National Bonds	8	97,348	137,348	197,348	277,348
Corporate Bonds	9	121,685	171,685	246,685	346,685
Money Market Instruments & Cash Equivalent	10	74,485	104,885	150,485	211,285
		488,212	688,612	989,212	1,390,012
Current liabilities					
Other Creditors	11	1,474	1,874	2,474	3,274
		1,474	1,874	2,474	3,274
Net Assets		486,739	686,739	986,739	1,386,739
Financed by					
Member's Capital	12	486,739	686,739	986,739	1,386,739
		486,739	686,739	986,739	1,386,739

FORECAST STATEMENT OF CASH FLOWS FOR YEAR ENDED 31ST DECEMBER

	2016 N'000	2017 N'000	2018 N'000	2019 N'000
Cash flows from operating activities:				
Net income before distribution	50,123	89,634	129,009	181,509
Operating assets brought forward	-	486,739	686,739	986,739
Changes in operating assets/liabilities	1,474	400	600	800
Cash flow from operating activities	51,597	576,773	816,348	1,169,048
Taxation	-	-	-	-
Net cash flow from operating activities	51,597	576,773	816,348	1,169,048
Cash flows from investing activities:				
Purchase of FGN Bonds	(194,696)	(274,696)	(394,696)	(554,696)
Purchase of Sub-National Bonds	(97,348)	(137,348)	(197,348)	(277,348)
Purchased of Corporate Bonds	(121,685)	(171,685)	(246,685)	(346,685)
Investments in Money Market Instruments	(73,011)	(103,011)	(148,011)	(208,011)
Net cash flow from investing activities	(486,739)	(686,739)	(986,739)	(1,386,739)
Cash flow from financing activities:				
Net proceeds from Issue	486,739	200,000	300,000	400,000
Distribution to Unit holders	(50,123)	(89,634)	(129,009)	(181,509)
Net cash flow from/(to) financing activities	436,616	110,366	170,991	218,491
Net increase in cash and cash equivalents	1,474	400	600	800
Opening cash and cash equivalents	-	1,474	1,874	2,474
closing Cash and cash equivalents	1,474	1,874	2,474	3,274

STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31ST DECEMBER

	2016 N'000	2017 N'000	2018 N'000	2019 N'000
Net asset value, beginning of year	486,739	486,739	686,739	986,739
Additions during the year	-	200,000	300,000	400,000
Net asset value, end of year	486,739	686,739	986,739	1,386,739
Increase in net asset value	-	200,000	300,000	400,000
Forecast earnings yield at offer price	10.30	13.05	13.07	13.09

BASIS AND ASSUMPTIONS:

1. BASIS: The forecast financial statements have been prepared under the historical cost convention and in accordance with the Fund's accounting policies.

2. ASSUMPTIONS:

A) The Fund Manager projects full subscription of total units offered to raise the required ₦500,000,000. The amount raised (net of issue costs) will be allocated to the various asset classes according to the following schedule:

Asset Class	Allocation Range	Target Weighting	Return Profile
	%	%	
FGN Bonds	30 – 60	40	14.5%
Sub National Bonds	10 – 35	20	15.5%
Corporate Bonds	15 – 40	25	15.5%
Other Fixed Income Securities	15 – 65	15	13.0%

B) The Fund is expected to commence operations in 2016 as soon as approval is received from SEC

C) Additional units of the Fund estimated at 40% of NAV will be issued in 2017, 60% in 2018, and 80% in 2019

D) The Fund will distribute 100% of its annual Net Income as dividends to unitholders

E) The Fund will invest between 10% to 60% of its assets in FGN Bonds from where it is expected to realise an estimated return of 14.5% p.a

F) Annual yield from Sub National Bonds is estimated at 15.5% p.a. Fund expects to invest between 15%-35% of its assets in this class of securities

G) 15%-40% of the net available funds at the beginning of the year will be invested in Corporate Bonds with expected yields of 15.5% p.a

H) The Fund Manager will invest 15%-65% of the assets of the Fund in Money Market instruments with expected yields of 13% p.a

I) The Fund Manager will earn management fees of 1% per annum on NAV of the Fund. This fee will accrue to the Fund Manager on quarterly NAV.

J) Operating expenses will average 1.65% of annual opening NAV in subsequent years, but is estimated at 4.44% in year of commencement due to the impact of issue costs

K) Yields are computed net of taxes

L) Portfolio returns is not expected to be lower than 10.30% in 2016, 18.42% in 2017, 18.79% in 2018 and 18.39% in 2019

M) Offer expenses including statutory Fees, Professional Fees & contingency are estimated at ₦14,850,000 or 2.97% of the Offer proceeds

N) The Fund will bear all costs incidental to acquiring, valuing and disposing of investments

NOTES TO THE ACCOUNT

Structure of the Fund

	2016	2017	2018	2019
	N'000	N'000	N'000	N'000
Balance brought forward	-	486,739	686,739	986,739
Proceeds from the offer	500,000	-	-	-
Net increase in Members' capital account	-	200,000	200,000	400,000
Issue costs	(12,261)	-	-	-
Amount available for investment	486,739	686,739	986,739	1,386,739

The fund manager has projected that the available net funds will be invested as follows:

FGN Bonds	194,696	274,696	394,696	554,696
State Government Bonds	97,348	137,348	197,348	277,348
Corporate Bonds	121,685	171,685	246,685	346,685
Money Market Instruments	73,011	103,011	148,011	208,011
	486,739	686,739	986,739	1,386,739

1 **Income from FGN Bonds**

Income for the year	28,330.88	39,830.88	57,330.88	80,630.88

The fund targets to invest 40% of its assets in FGN Bonds; yield on FGN Bonds is estimated at 14.6% p.a.

2 **Income from Sub-National Bonds**

For the year	15,989	21,289	30,589	42,989

The fund targets to invest 20% of its assets in State Government Bonds; yield on State Government Bonds is estimated at 15.3% p.a.

3 **Income from Corporate Bonds**

For the year	18,861	26,611	38,236	53,736

25% of the net available funds at the beginning of the year will be invested in money market instruments with yields of 15.5% p.a.

4 **Income from money market securities**

For the year	9,491	13,391	19,241	27,041

15% of the net available funds at the beginning of the year will be invested in money market instruments with yields of 13% p.a.

5 **Management Fee**

1% of NAV				
For the year	4,867	6,867	9,867	12,867
Incentive Fee @ 20% of Gross Income over 10%				

6 **Other operating expenses**

Marketing Expenses	972	1,372	1,972	2,772
Trustees	487	687	987	1,387
Custodian	487	687	987	1,387
Auditors	500	500	500	500
Commissions & Fees	972	1,372	1,972	2,772
	3,421	4,621	6,421	8,821

7 FGN BONDS	194,696	274,696	394,696	554,696
8 Sub-National Bonds	97,348	137,348	197,348	277,348
9 Corporate Bonds	121,685	171,685	246,685	346,685
10 Money Market Instruments &Cash Equivalent	74,485	104,885	150,685	211,285
	486,212	686,612	989,212	1,389,012

11 **Other creditors**

Trustees	487	687	987	1,387
Custodian	487	687	987	1,387
Auditors	500	500	500	500
	1,474	1,874	2,474	3,274

12 **Members Capital Account**

As at the beginning	-	486,739	686,739	986,739
Net proceeds from issue	486,739	-	-	-
Net increase during the year	-	200,000	300,000	400,000
As at December 31	486,739	686,739	986,739	1,386,739

PROFILE OF FUND MANAGER

PAC Asset is an Asset Management Company with focus on Funds/Portfolio management, and Investment Advisory services to Corporate and institutional clients, Government Parastatals.

The company also provides wealth management to high net worth individuals with the aim to achieve long-term objectives and estate planning.

PAC Asset is a subsidiary of PanAfrican Capital Plc, a registered capital market operator that provides an array of financial services in the areas of Investment Banking, Asset Management, Securities Trading, Structured Finance and Registrar Services to corporate and institutional clients.

PAC Asset business focuses on providing specialist investment avenues for clients. The company is positioned to successfully manage its clients' funds through its tailored in-house pooled private funds, structured close end funds, SEC registered public mutual funds, and stand alone portfolio funds.

Our services cuts across business areas and various clients including, High Net worth Individuals, Insurance companies, Endowment funds, Family and Trust Funds, Educational Centres, Charity Organisations, Religious Houses, Company Cooperatives & Staff Schemes, investment companies of Local, State and Federal Government.

The company also takes position for its own portfolio under its principal investments business.

THE INVESTMENT COMMITTEE

The proposed Investment Committee members are as follows:

Sina Alimi
David Okwuadigbo
Bamidele Ige–Head, Investment & Operations
Sam Onunkwe
Mr. Bunkaya B. Gana - Representative of Trustee

THE TRUSTEE

Mainstreet Bank Trustees & Asset Management Company Limited (MTAMC) is a Trust and Asset management company licensed by the Securities and Exchange Commission to operate as Trustees and Portfolio Managers. In the 12 years since commencing operations, the Company has provided financial services to a myriad of clients including high net-worth individuals, body corporates, governments, educational bodies and financial institutions in matters pertaining to private trusts, bonds floatation and loans syndication services.

MTAMC is also an active player in the Nigerian money and capital markets. The Company provides portfolio management services and assist clients to administer their finances to achieve capital appreciation and preservation based on the underlying principle of balancing profitability with associated risks thereby hedging clients' portfolio against inflation and diminution of asset value while at same time yielding high returns on investment.

Accordingly, the Company has built an enviable track record of funds management by virtue of its astute management team, extensive industry experience and synergistic alliances with its parent company, Mainstreet Bank Limited, as well as the robust network of relationships within and outside the financial sector.

DIRECTORS

Dotun Adeniyi: Executive Director, Enterprise Wide-Risk Management
Segun Opeke: General Manager, Group Head, Corporate Banking Group
Kayode Abiru: General Manager, Chief Compliance Officer
Olufemi Olanihun: Assistant General Manager, Head International Subsidiaries
Mrs. Oghogho Osula (MD/CEO)

THE CUSTODIAN

UBA Global Investor Services ("UBA GIS") has been appointed as the Custodian to the Fund.

UBA Global Investor Services ("UBA GIS") was incorporated in September 2007 as a division of the United Bank for Africa (UBA) Plc offering custodial services to Global Custodians, Institutional Investors, direct participants and investments in Africa. UBA GIS process securities trades, safe-keep financial assets and service associated portfolios. As a full-fledged Division of the Bank, UBA GIS enjoys the cover of the Bank's balance sheet.

All clients assets are held exclusively by UBA Nominee Limited, a holding entity and do not operate any business except to hold these assets in line with regulatory guidelines and global best practice.

UBA GIS currently operates in Nigeria and the 8 (eight) francophone Countries of Cote D'Ivoire namely: Niger, Mali, Togo, Benin, Senegal, Burkina Faso, Guinea Bissau and Cote D'Ivoire.

The company has hands on domestic custody experience in Nigeria as it currently acts as custodian to 23 Collective Investment Schemes, sub-custodian to 3 Global custodians, sole custodian to 2 Nigerian insurance companies with regional/international shareholding, Euroclear account services to Banks, Discount Houses and Trustees. UBA GIS was involves in the drafting of custody guidelines and rules for the CBN and SEC.

INDEBTEDNESS

As at the date of this Prospectus, the Fund Manager has no outstanding debentures, mortgages, loans, charges or similar indebtedness, except in the ordinary course of business.

CLAIMS AND LITIGATION

As at the date of this Prospectus, PACAM is, in its ordinary course of business, presently involved in one (1) case instituted against it, and no case instituted by it. The case against the company is not a claim against the company. The Petitioner owes money to the Company and disputes the amount owed and resolves to Court for adjudication. The Petitioner claims only ₦10,000,000.00 (Ten Million Naira) is owed to the Company, while the Company believes ₦13,340,003.37 (Thirteen Million, Three Hundred and Forty Thousand, Three Naira, and Thirty Seven kobo) plus interest is owed by the Petitioner.

The Solicitors to the Transaction believe that the litigation against the company will not have any material adverse effect on the Transaction. The Directors of PACAM are also of the opinion that the case mentioned above will not have any material effect on PACAM, or on the Transaction, and are not aware of any other pending and/or threatened claim or litigation.

COSTS AND EXPENSES

The costs, charges and expenses of and incidental to the Offer including fees payable to the Securities and Exchange Commission, professional parties' fees, brokerage commission, printing and distribution expenses are estimated at ₦14,850,000.00 or 2.97% % of the gross Offer proceeds and are payable by the Fund and deductible from the monies raised by the Fund.

RELATIONSHIP BETWEEN THE ISSUER AND THE PROFESSIONAL PARTIES

PAC Asset Management Limited is a wholly owned subsidiary of PanAfrican Capital Plc, and there are common directors.

PAC Asset Management Limited and PAC Registrars Limited are under common ownership of PanAfrican Capital Plc, hence are related parties.

Other than as disclosed, the Issuer, PAC Asset Management Limited does not have any relationship with any of the other professional parties.

MATERIAL CONTRACTS

In connection with the establishment and issuance of Units in the PACAM Fixed Income Fund, PAC Asset Management Limited and/or the Trustee have entered into the following contract, which may be material to the offer.

a) A Trust deed dated 07 April, 2016 between PAC Asset Management Limited and Mainstreet Bank Trustees & Asset Management Company Limited constituting the PACAM Fixed Income Fund and Units therein issued or to be issued by the Joint Issuing Houses.
b) A Vending Agreement dated 07 April, 2016 under the terms of which Planet Capital Limited and PanAfrican Capital Plc agreed on behalf of PAC Asset Management Limited to offer for subscription 50,000,000 units each at ₦10.00 per Unit in the PACAM Fixed Income Fund.
c) A Custody Agreement, dated 07 April, 2016 between PAC Asset Management Limited, Mainstreet Bank Trustees & Asset Management Company Limited and United Bank for Africa Plc (Global Investor Services Division) with respect to the PACAM Fixed Income Fund and Units therein issued or to be issued by the Joint Issuing Houses.

CONSENTS

The following have given and not withdrawn their written consents to the issue of this Prospectus with their names and reports (where applicable) included in the form and context in which they appear:

a.	The Fund Manager	Pac Asset Management Limited
b.	Directors of the Fund Manager	Chris Oshiafi Sina Alimi David Okwuadigbo
c.	Company Secretary	Toye Osungbesan
d.	Lead Issuing House	Planet Capital Limited
e.	Joint Issuing House	PanAfrican Capital Plc
f.	The Trustees to the Fund	Mainstreet Bank Trustees & Asset Management Company Limited
g.	Solicitors to the Trustee	Tokunbo Orimobi & Co
h.	Reporting Accountants	Alatta Nzewi Oyeka & Co (Chartered Accountants)
i.	Registrar	PAC Registrars Limited
j.	Custodian	United Bank for Africa Plc (Global Custodian Services Division)
k.	Receiving Bankers	Skye Bank Plc and Heritage Bank Limited

DOCUMENTS FOR INSPECTION

The following documents are available for inspection at the office of Planet Capital Limited, St Peter's House (3rd Floor), 3, Ajele Street, Lagos Island, Lagos, during normal business hours (except public holidays) from 8.00 a.m. to 5.00 p.m. 25 April, 2016 to 01 June, 2016.

a) The Certificate of Incorporation of PAC Asset Management Limited

b) The Form CAC 2A (Return of Allotment Post Incorporation) of PAC Asset Management Limited

c) The Form CAC 7 (Particulars of Directors) of PAC Asset Management Limited

d) The Certificate of Registration of Increase in Share Capital of PAC Asset Management Limited

e) The Memorandum & Articles of Association of PAC Asset Management Limited

f) The Certificate of Incorporation of the Trustees

g) The Memorandum & Articles of Association of the Trustees

h) The Audited Accounts of PAC Asset Management Limited for each of the years ended April 30, 2013 – 2015

i) The Reporting Accountants' Report on the financial forecast of the Fund for the four years ending 31 December, 2016, 2017, 2018 and 2019

j) The Resolution of the Board of Directors of PAC Asset Management Limited dated June 30, 2015 authorising the creation of the Fund and the issuance of 50,000,000 Units of the Fund

k) The duly executed Prospectus issued in respect of the Offer

l) The letter of authorisation of the Fund and registration of the Units by the SEC

m) The Written Consents referred to above

n) The schedule of claims and litigation involving the Fund Manager, and the Solicitors opinion

o) Material Contracts referred to above

p) The Vending agreement between PAC Asset Management Limited and the Issuing Houses – Planet Capital Limited and PanAfrican Capital Plc dated 07 April, 2016

q) The Trust Deed between PAC Asset Management Limited and Mainstreet Bank Trustees & Asset Management Company Limited dated 07 April, 2016

r) The Custodian Agreement between PAC Asset Management Limited, Mainstreet Bank Trustees & Asset Management Company Limited, and United Bank for Africa (Global Investors Services Division) dated 07 April, 2016

PROCEDURE FOR APPLICATION AND ALLOTMENT

APPLICATION

1.1 The general investing public is hereby invited to apply for units of the Fund through any of the Receiving Agents listed on page 24.

1.2 Applications for the Units must be made in accordance with the instructions set out at the back of the application form. Care must be taken to follow these instructions, as applications, which do not comply, will be rejected.

1.3 The Application List for the Units now being offered will be open to each prospective investor at 8am on 25 April, 2016 and close at 5.00pm on 01 June, 2016. Applications must be for a minimum of 1,000 Units and in amounts not less than 100 Units thereafter. The number of Units for which an application is made and the value of the cheque or bank draft attached should be entered in the boxes provided.

1.4 Applicants should sign the declaration and write his/her full names, address and daytime telephone number(s) in the appropriate sections. A corporate applicant should affix its seal and state its Incorporation Number or in the case of a corporate foreign subscriber its appropriate identification number in the jurisdiction in which it was constituted. Where the application is made on behalf of a child, the full names of the applicant and the child, and the date of birth of the child should be provided.

1.5 Each applicant should forward together with the cheque or bank draft for the full amount of the purchase price to any of the receiving banks or PACAM offices. The cheque or draft must be drawn on a bank in the same town or city in which the Receiving Bank is located and crossed "PACAM FIXED INCOME FUND" with the name, address and daytime phone number of the applicant written on the back. All bank commissions and transfer charges must be prepaid by the applicants. All cheques and drafts will be presented upon receipt and all applications in respect of which cheques are returned unpaid will be rejected through the post at the applicant's risk.

1.6 Applications above ₦10,000,000.00 (Ten Million Naira) should be transferred via RTGS into the Issue Proceeds Account as detailed below:

Bank Name:	Skye Bank Plc	Heritage Bank Limited
Account Number:	1771752818	5600001951
Account Name:	PACAM - OFFER PROCEEDS ACCOUNT- FIXED INCOME FUND	

ALLOTMENT

The Joint Issuing Houses and the Directors of PAC Asset Management Limited (the Fund Manager) reserve the right to accept or reject any application in whole or in part. All irregular or suspected multiple applications will be rejected. In the event of an over subscription, additional units of the Fund will be allotted subject to the Commission's approval.

APPLICATION MONIES

All application monies will be retained in separate interest yielding bank accounts by the Receiving Bankers pending allotment. If any application is not accepted, or is accepted for fewer Units than the quantity applied for, a cheque for the full amount or the balance of the amount paid (as the case may be) will be returned by post within one week of allotment. Electronic Fund Statements would be sent by post not later than 2 weeks from the date of allotment.

RECEIVING AGENTS

Completed Application Forms for which cash or bank drafts / cheques for the full amount payable may be submitted to any of the following Receiving Agents duly registered as market operators by SEC, to whom brokerage will be paid at the rate of 75 kobo per ₦100 worth of units allotted in respect of applications bearing their stamps.

The Joint Issuing Houses cannot accept responsibility for the conduct of any of the Receiving Agents listed below. Prospective Investors are therefore advised to conduct their own independent enquiries before choosing an agent to act on their behalf. Evidence of lodgement of funds at any of the Receiving Agents listed below, in the absence of corresponding evidence of receipt by any of the Issuing Houses, cannot give rise to a liability on the part of any of the Joint Issuing Houses under any circumstances.

BANKS

Access Bank Nigeria Plc	Guaranty Trust Bank Plc	Skye Bank Plc
Diamond Bank Nigeria Plc	Heritage Bank Limited	Union Bank of Nigeria Plc
Ecobank Nigeria Plc	Keystone Bank Limited	United Bank for Africa Plc
Fidelity Bank Plc	Standard Chartered Bank Limited	Unity Bank Plc
First Bank of Nigeria Limited	Stanbic IBTC Bank Limited	Wema Bank Plc
First City Monument Bank Limited	Sterling Bank Plc	Zenith Bank Plc

STOCKBROKERS AND OTHERS

Adonai Stockbrokers Ltd	First Stockbrokers Ltd	Phronesis Securities Ltd
African Alliance Stockbrokers Ltd	FIS Securities Ltd	Pilot Securities Ltd
Afrinvest Securities Ltd	Foresight Securities & Investment Ltd	Pinefields Investment Services Ltd
Altrade Securities Ltd	Forte Financial Ltd	PIP Securities Limited
Anchorage Securities & Finance Ltd	Forthright Securities & Investments Ltd	Pivot Trust & Investment Company Ltd
Anchoria Investment & Securities Ltd	Fortress Capital Ltd	Portfolio Advisors
Apel Asset Ltd	FSDH Securities Ltd	Planet Capital Limited
APT Securities & Funds Ltd	Funds Matrix & Assets Management Ltd	Primera Africa Securities Ltd
ARM Securities Ltd	Fundvine Capital & Securities Ltd	Primewealth Capital Ltd
Associated Asset Managers Ltd	Futureview Securities Ltd	Prominent Securities Ltd
Atlas Portfolio Ltd	Gidauniya Investment & Securities Ltd	PSI Securities Ltd
Bauchi Investment Corporation Ltd	Global Assets Management (Nig) Ltd	Pyramid Securities Ltd
Belfry Investment & Securities Limited	Globalview Consult & Investments Ltd	Quantum Securities Ltd
Best Worth Assets & Trust Ltd	Golden Securities Ltd	Rainbow Securities & Investments Co. Ltd
Calyx Securities Ltd	Greenwich Securities Ltd	Readings Investments Ltd
Camry Securities Ltd	Gruene Capital Ltd	Regency Assets Management Ltd
Capital Asset Ltd	GTI Securities Ltd	Rencap (Securities) Nigeria Ltd
Capital Bancorp Ltd	Harmony Securities Ltd	Reward Investments & Services Ltd
Capital Express Securities Ltd	Heartbeat Investments Limited	Rostrum Investment & Securities Ltd
Capital Trust Brokers Ltd	Hedge Securities & Investment Company Limited	Royal Guaranty & Trust Ltd
Cardinalstone Securities Ltd	Heritage Capital Market Ltd	Royal Trust Securities Ltd
Cash Craft Securities Ltd	ICMG Securities Limited	Santrust & Securities Ltd
Cashville Investments & Securities Ltd	ICON Stockbrokers Ltd	Securities Africa Financial Ltd
CDL Capital Markets Ltd	Imperial Asset Managers Ltd	Securities and Capital Management Company Ltd
Center-point Investment Ltd	Independent Securities Ltd	Security Swaps Ltd
Century Securities Ltd	International Standard Sec. Ltd	SFC Securities Ltd
ChapelHill Denham Securities Ltd	Integrated Trust & Investments Ltd	Shelong Investment Ltd
Chartwell Securities Ltd	Interstate Securities Ltd	Sigma Securities Ltd
Citi Investment Capital Limited	Investment One Financial Services Ltd	Signet Investments Securities Limited
City-Code Trust & Investment Company	Investment One Stockbrokers Intl Ltd	Skyview Capital Ltd
Clearview Investment Company Ltd	Investors and Trust Company Ltd	SMADAC Securities Ltd
Compass Investment & Securities Ltd	Kedari Capital Ltd	Solid-Rock Securities & Investment Plc
Cordros Capital Ltd	Kinley Securities Ltd	Spring Trust & Securities Ltd
Core Trust and Investment Ltd	Kofana Securities & Investment Ltd	Springboard Trust & Investment Ltd
Coronation Securities Ltd	Kundila Finance Services Ltd	Stanbic IBTC Stockbrokers Ltd
Cowry Securities Ltd	Lambeth Trust & Investments Company Ltd	Standard Alliance Capital & Asset Management Ltd
Crossworld Securities Ltd	Lead Securities & Investment Ltd	Standard Union Securities Ltd
Crown Capital Ltd	Lighthouse Assets Management Ltd	TFS Securities & Investment Company Ltd
CSL Stockbrokers Ltd	Longterm Global Capital Ltd	The Bridge Securities Ltd
De-Lords Securities Ltd	Magnartis Finance & Inv Ltd	Tiddo Securities Ltd
Dependable Securities Ltd	Mainstreet Bank Securities Limited	Topmost Securities Ltd
Diamond Securities Ltd	Marimpex Finance & Investment Ltd	Tomil Trust Ltd
Dominion Trust Ltd	Marina Securities Ltd	Tower Assets Management Ltd
DSU Brokerage Services Ltd	Maven Asset Management Ltd	Tower Securities and Investment Company Ltd
Dunbell Securities Ltd	MBC Securities Ltd	Tradelink Securities Ltd
Dynamic Portfolio Ltd	MBL Financial Services Ltd	Traders Trust & Investment Co. Ltd
ECL Asset Management Ltd	Mega Equities Ltd	Transworld Investment & Securities Ltd
EDC Securities Ltd	Meristem Securities Ltd	Trans Africa Financial Services Ltd
EFCP Ltd	Meristem Stockbrokers Ltd	Trustbanc Capital Management Ltd
Elixir Securities Ltd	Midas Stockbrokers Ltd	Trust Yield Securities Ltd
Enterprise Stockbrokers Plc	Mission Securities Ltd	Trusthouse Investments Ltd
Equity Capital Solutions Ltd	Molten Trust Ltd	TRW Stockbrokers Ltd
Express Discount Asset Management	Morgan Capital Securities Ltd	Tyndale Securities Ltd
Express Portfolio Services Ltd	Mountain Investment & Securities Ltd	UNEX Capital Ltd
Eurocomm Securities Ltd	Mutual Alliance Investment & Securities Ltd	Union Capital Markets Ltd
FBN Securities Ltd	Network Capital Ltd	United Capital Securities Ltd
FCSL Asset	Networth Securities & Finance Ltd	Valmon Securities Ltd
Management Company Ltd	Newdevco Investment & Securities Co. Ltd	Valueline Securities & Investment Ltd
Fidelity Finance Company Ltd	Nigerian International Securities Ltd	Vetiva Capital Management Ltd
Fidelity Securities Ltd	Nigerian Stockbrokers Ltd	Vetiva Securities Ltd
Financial & Analytics Capital Ltd	Nova Finance & Securities Limited	WSTC Financial Services Ltd
Financial Trust Company Nig. Ltd	PAC Securities Ltd	Zenith Securities Ltd
Finmal Finance Services Ltd	Partnership Securities Ltd	
First Integrated Capital Management Ltd	Peace Capital Market Ltd	

APPLICATION FORM

PAC ASSET MANAGEMENT LIMITED RC: 695281

Applicants should read the Instruction for Completing the Application Form section before completing the Application, and application forms not completed in accordance with the instructions will be rejected. If you are in doubt as to what action to take, please consult your financial adviser, stockbroker, solicitor, accountant, tax consultant, bank manager, or any other professional adviser for guidance.

PACAM FIXED INCOME FUND

OFFER FOR SUBSCRIPTION OF 50,000,000 UNITS OF N10 EACH AT PAR PAYABLE IN FULL ON APPLICATION

LEAD ISSUING HOUSE

PLANET CAPITAL LIMITED RC: 986761

JOINT ISSUING HOUSE

PANAFRICAN CAPITAL PLC RC: 254413

APPLICATION LIST	OPENS: 25 April, 2016
	CLOSES: 01 June, 2016

Please complete all relevant sections of the Application Form USING BLOCK LETTERS

NUMBER OF UNITS APPLIED FOR: (Minimum of 1,000 and Multiples of 100 thereafter	**AMOUNT:** (₦10 EACH AT PAR)
Payment Mode: ☐ CASH BANK ☐CHEQUE ☐ONLINE DIRECT TRANSFER TO A/C NO:	
BANK:	CHEQUE/DRAFT NO:

SURNAME/COMPANY NAME:

OTHER NAMES (FOR INDIVIDUAL APPLICANT ONLY)

FULL POSTAL ADDRESS

CITYSTATE

LAND PHONE NUMBER

MOBILE (GSM) PHONE NUMBER

EMAIL ADDRESS

NEXT OF KIN

JOINT APPLICANT Title Mr. ☐ Mrs. ☐ Miss ☐ Others ☐

SURNAME:

OTHER NAMES (FOR INDIVIDUAL APPLICANT ONLY)

TICK AS APPROPRIATE: REINVESTMENT ☐ **CASH** ☐ **BANK DETAILS** (For E-Dividend)

NAME OF BANK

BANK ACCOUNT NO

BANK SORT CODE

BVN NO:

- ☐ I/We am/are 18 years of age and above
- ☐ I/We confirm that I/We have read and understood the Prospectus dated 07 April, 2016 to which this Application Form is attached
- ☐ I/We attach herewith the amount in full pay on application for the number of shares that I/We wish to subscribe to the Offer of PACAM Fixed Income Fund at ₦10.00 per unit.
- ☐ I/We authorized you to send an allotment certificate and/or a cheque for any refund due to me/us, by registered post to the address given above and to procure registration in my/our name as the holder(s) of such number of units or such smaller number, as aforesaid.

Shareholder's Signature or Thumbprint	Shareholder's Signature or Thumbprint

COMPANY SEAL/INCORPORATION NUMBER (CORPORATE SHAREHOLDER)

When completed on behalf of corporate body, each signatory should state the representative capacity e.g. Company Secretary, Director etc

INSTRUCTIONS FOR COMPLETING APPLICATION FORM

1. Application should be made only on the Application form or Photocopy or scanned copies of the Application form.

2. Applications must not be for less than the minimum number of units stated on the Application Form. Application for more than the minimum number of units must be in the multiples stated on the Application Form. The number of units for which an application is made and the amount of the cheque or bank draft attached should be entered in the boxes provided.

3. The Application form when completed should be lodged with any of the receiving banks listed on page 24 Applications must be accompanied by a cheque or bank draft made out for the full amount payable on application. The cheque or draft must be crossed **"PACAM FIXED INCOME FUND"** with the name, address and daytime telephone number of the applicant written on the back. In the case of electronic payments, application form must be accompanied by online transfer receipt evidencing payment to the Fund. All bank commissions and transfer charges must be prepaid by the applicant. All cheques and drafts will be presented upon receipt and all applications in respect of which cheques are returned unpaid will be rejected.

4. Joint applicants must all sign the Application form.

5. An application from a group of individuals should be made in the names of those individuals. An application by a firm which is not registered should be made either in the name of the proprietor or in the names of the individual partners.

6. An application from a corporate body must bear the corporate body's seal and be completed under the hand of a duly authorized officer.

7. An application by an illiterate should bear his right thumb print on the Application Form and be witnessed by an official of PACAM or any of the receiving banks at which the application is lodged who must first have explained the meaning and effect of the application form to the illiterate in his own language. Above the thumbprint of the illiterate, the witness must record in writing that he has given this explanation to the illiterate in a language understandable to him and that the illiterate appeared to have understood same before affixing his thumb impression.

8. The applicant should not print his signature. If he is unable to sign in the normal manner he should be treated for the purpose of this Offer as an illiterate and his right thumbprint should be clearly impressed on the Application Form.

THE TRUSTEE WILL BE LIABLE FOR A BREACH OF ITS DUTIES WHERE IT FAILS TO CARRY OUT ITS RESPONSIBILITIES UNDER THIS TRUST DEED OR REPORT ANY BREACH OF THE TERMS OF THE TRUST DEED TO THE SECURITIES AND EXCHANGE COMMISSION

PACAM FIXED INCOME FUND

PAC ASSET MANAGEMENT LIMITED

(RC NO.695281)

(Fund Manager/ Promoter)

AND

MAINSTREET BANK TRUSTEES AND ASSET MANAGEMENT COMPANY LIMITED

(RC NO.180089)

(Trustee)

TRUST DEED

DATED [●] DAY OF [●], 2016

Prepared By:

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THIS TRUST DEED is made the _____ day of _____ 2016

BETWEEN

PAC Asset Management Limited, a private limited liability company established under the laws of the Federal Republic of Nigeria, with registration number RC (695281) and having its principal place of business at 8A Elsie Femi Pearse Street, Victoria Island, Lagos State (hereinafter referred to as the **"PACAM "** or the **"Fund Manager" which expression shall where the context so admits include its successors-in-title and assigns**) of the one part

AND

Mainstreet Bank Trustees and Asset Management Company Limited, a private limited liability company established under the laws of the Federal Republic of Nigeria with registration number RC (180089) and having its principal place of business at 94, Broad Street (4th Floor) Lagos Island, Lagos State (hereinafter referred to as the **"Trustee"" which expression shall where the context so admits include its successors-in-title and assigns)** of the other part.

WHEREAS:

(A) The Fund Manager is duly registered with the Securities & Exchange Commission (the "**SEC**") as a Fund/Portfolio Manager.

(B) The Fund Manager, by a resolution of its Board of Directors passed on the 30th] day of June2015 resolved, subject to the approval of the Commission to establish an open-ended unit trust investment scheme to be known as PACAM Fixed Income Fund (the **"Fund"**) and to serve as Fund Manager of the Fund.

(C) The Fund will seek to achieve an efficient balance between capital appreciation and income for investors with modest risk appetite. The Fund will invest in Fixed Income securities such as: FGN, State Government and Corporate Bonds, CBN Treasury Bills; Commercial Papers; Bankers Acceptances; and Certificates of Deposit.

(D) The issue size of the Fund at inception is ₦500,000,000.00 (Five Hundred million Naira) divided into 50,000,000 Units of ₦10.00 each at par in the Fund.

(E) The fund is an Open-ended Fund, and will be opened to investors for subscription through the Fund Manager after the full subscription of the initial 50,000,000 units issued. The Fund Manager will issue additional units when required, with the consent

of the Trustees, subject to the registration and approval of the Units to be offered by the Securities and Exchange Commission.

(F) The Fund Manager has, by a Resolution of its Board of Directors passed on the 25thday of June, 2015 resolved to offer 500,000,000 (Five Hundred Million) Units of the Fund to Investors by way of offer for subscription (the **"Offer"**), subject to the approval of the Securities and Exchange Commission.

(G) The Trustee is duly registered with the SEC as a trustee and has agreed to act as Trustee to the Fund for the benefit of the Unitholders and subject to the terms and conditions set forth in this Trust Deed.

(H) The Trustee and the Fund Manager are distinct and separate corporate entities and are both duly incorporated under the CAMA, and neither of them is a subsidiary or holding company of the other. The Trustee and Fund Manager do not have common directors.

1. DEFINITIONS AND INTERPRETATIONS

1.1 In this Agreement, unless the context otherwise admits or requires, the following expressions shall have the meanings set against them:

"Allotment Date"	the date on which SEC approves allotment of Units;
"Auditors"	BDO Professional Servicesor such other firm of auditors appointed in accordance with Clause 29 of this Deed as auditors of the Fund;
"Bank"	a bank or such other financial institution (as may from time to time be appointed by the Fund Manager with the prior written approval of the Trustee)
"Business Day"	any day, other than Saturdays, Sundays and public holidays on which banks and other financial institutions are open for business in Nigeria;
"Board"	the directors for the time being of the Fund Manager;

"CAMA"	the Companies and Allied Matters Act Cap C20 Laws of the Federation of Nigeria 2004;
"CBN"	Central Bank of Nigeria;
"Charges"	any fees, expenses, charges, costs to be incurred in relation to the Fund, but not exceeding 3% of the Net Asset Value of the Fund; .
"Closing Date"	the date stated in the Prospectus as the date on which the application list closes or such other date as may be approved by the SEC;
"Custodian"	United Bank of Africa Plc. (Global Investor Services Division), or such other custodian duly appointed;
the "Commission" or the "SEC"	the Securities and Exchange Commission;
"Deed"	this Trust Deed as same may be amended from time to time;
"Deposited Assets"	the assets held or deemed to be held in trust for the Fund and all Net Income realized by the Fund which are yet to be invested or distributed excluding any sums or investments which are for the time being designated to be deducted as Charges/standing to the credit of the PACAM Fixed Income Fund Expense Account;
"Designated Accounts"	the PACAM Fixed Income Fund Proceeds Account, the PACAM Fixed Income Fund Expense Account and such other designated cash accounts that may be opened by the Custodian;
"Distributions"	payments made to Unit holders out of the profits of the Fund in any financial year either in cash or in any other form as may be agreed by the Trustee and the Fund Manager;

"Distribution Payment Date"	the date or dates, in a Distribution Period on which the Fund Manager shall make Distributions to Unit holders;
"Distribution Period"	the period specified by the Fund Manager as the period for the Distribution payment as approved by the Unitholders in a general meeting that considers and approves such Distribution;
"Fund Statement"	a statement to be issued to Unit holders by the Fund Manager via e-mail or any other electronic means, evidencing the number of Units held by a Unitholder in the Fund; which issue will in the case of the Offer occur within fifteen (15) Business days of the Allotment Date or such other shorter period as the Commission may prescribe and in case of subsequent purchases, occur within fifteen (15) Business days of the purchase of Units. The statement shall be issued in the form or substantially in the form prescribed in the Second Schedule hereto;
"Income"	all income from investments in Permissible Instruments, the sale of the Permissible Instruments and the capital gains arising from the sale of investments in Permissible Instruments;
"Initial Subscription Period"	the period commencing on the Opening Date and ending on the Closing Date;
"Initial Subscription Price"	₦10.00 per Unit;
"Investment Committee"	the committee established pursuant to this Deed for the purpose of determining and approving in accordance with the provisions of Clause 4.2 hereof, investments of the Deposited Assets;
"Investors"	any person whether resident in Nigeria or not, or corporation or other body corporate or other legal entity, wherever and however incorporated or established that subscribes to Units of the Fund;

"ISA"	the Investments and Securities Act No. 29 of 2007;
"Issued Units"	all the Units of the Fund that have been sold to Unitholders and have not been redeemed in accordance with Clause 5;
"Management Fee"	an annual fee of 1.0% of Net Asset Value of the Fund to be paid monthly in arrears to the Fund Manager;
"PACAM Fixed Income Fund"	PACAM Fixed Income Fund as constituted by this Deed;
"PACAM Fixed Income Fund Expense Account"	the designated account to be opened and maintained by the Custodian for the purpose of paying the Charges;
"PACAM Fixed Income Fund Proceeds Account"	the designated account to be opened and maintained by the Custodian and into which all proceeds of the sale of Units shall be paid;
Net Asset Value	the value of the Fund's assets less the value of its liabilities per unit
"Net Asset Value per Unit"	the Net Asset Value divided by the number of Units in issue at any time
"Net Income"	the Income of the Fund after all applicable taxes, duties, costs, charges or expenses have been deducted;
"New Unit"	a Unit issued under the Fund, after the Initial Subscription Period;
"Opening Date"	the date stated in the Prospectus as the date on which application list for the Offer opens;
"Permissible Instruments"	low risk long term fixed income market securities including and without limitation, FGN government bonds, permissible corporate bonds that have an investment grade rating from a local rating agency registered with the Commission and other instruments issued and approved by the CBN;

"Bid Price"	the price at which a Unit of the Fund would be redeemed or repurchased by the Fund Manager, from a Unitholder, subject to Rule 478 of the SEC Rules and Regulations;
"Principal Sum"	the total amount a Unitholder pays on subscription for units in the Fund ;
"Prospectus"	the Prospectus dated the …… day of ……., 2016 by which the 50,000,000 Units at ₦10.00 each at par in the Fund were offered to the public for subscription;
"Redemption"	the redemption of Units after allotment at the Price;
"Redemption Documents"	the Redemption Notice set out in the Third Schedule and the Fund Statement set out in the Second Schedule respectively of this Deed which must be lodged with the Fund Manager for the redemption of Units;
"Redemption Period"	any time after the receipt of the Redemption Notice and Fund Statement or such other period as the Fund Manager shall in consultation with the Trustee determine, subject to the provisions of the ISA and SEC Rules and Regulations from time to time;
"Register"	the Register of Unitholders established pursuant to Clause 12;
"Registrar"	PAC Registrars Limited or the person for the time being in whose custody the Register is kept and by whom it is maintained, who is appointed/approved by the Trustee as Registrar in accordance with Clause 27 of this Deed; ;
"SEC Rules"	the rules and regulations and any amendments thereto, issued by SEC pursuant to the provisions of the ISA.
"Securities"	refers to FGN bonds, State Government bonds, eligible corporate bonds and notes.
"Survivor"	refers to the next of kin, executor, administrator, liquidator, receiver, trustee or surviving member(s) of a joint Unitholder;

the "Exchange" or the "NSE"	the Nigerian Stock Exchange;
"Trust Period"	the period from the date of this Deed until the Fund shall be terminated in accordance with the provisions of this Deed;
"Units"	Units created and issued in accordance with the terms hereof and representing a beneficial interest in the Fund;
"Unitholders"	any person for the time being who holds Units and whose name is entered in the Register and includes persons so entered as joint Unit holders; and
"Value"	with reference to any investment (except as herein otherwise specifically provided) means the value of the Permissible Instruments calculated by reference to the relevant closing price on the date applicable to such calculation where the investment is quoted on the Exchange and in any other case, the realistic value attributed to the investment by the Fund Manager together with all duties and charges which would be payable on the purchase thereof at such price. Value with reference to cash means the monetary amount thereof.
"Year"	Means calendar year

1.2 References to any statute or statutory provision include, unless the context otherwise requires, a reference to the statute or statutory provision as modified, replaced, re-enacted or consolidated and in force (whether before or after the date of this Agreement) from time to time and any subordinate legislation made under the relevant statute or statutory provision (as so modified, replaced, re-enacted or consolidated).

1.3 References to any gender include references to either gender and references to the singular include the plural and vice versa.

1.4 References to a person include references to any individual (including that individual's legal personal representatives), firm, company, corporation or other body corporate, government, state or agency of a state or any unincorporated association, joint venture or partnership (whether or not having a separate legal personality).

1.5 The clause headings in this Agreement do not affect its interpretation.

1.6 References to clauses are to clauses of this Agreement.

1.7 Any phrase introduced by the term "include", "including", "in particular", "other", or any similar general term is not limited by any particular examples preceding or following those general terms.

1.8 **Business Day Adjustment**

Where the day on or by which a payment is due to be made or an event due to occur is not a Business Day, that payment shall be made and that event shall occur on or by the next succeeding Business Day, unless that next succeeding Business Day falls in a different calendar month, in which case that payment shall be made or that event shall occur on or by the immediately preceding Business Day.

2. THE TRUST DEED

The provisions of this Deed and of any duly executed supplemental trust deed shall be binding on the Trustee, the Fund Manager, the Unitholders and all persons claiming through them as if such persons were parties to this Deed or such supplemental deed.

3. CONSTITUTION OF THE TRUST

3.1 The Fund shall initially be constituted from the proceeds of sale of Units in the Fund under the Offer.

3.2 The Custodian shall maintain the Designated Accounts and shall act on the instructions of the Fund Manager and/or Trustee where necessary.

3.3 All cash proceeds of the sale of Units shall be paid into the PACAM Fixed Income Fund Proceeds Account or such other designated cash account with the Bank.

3.4 A portion of such proceeds will from time to time, as hereinafter provided for, be paid from the PACAM Fixed Income Fund Proceeds Account into the PACAM Fixed Income Fund Expense Account or such other designated cash account for the payment of the Charges.

3.5 Monies paid for Units pursuant to Clause 3.1 hereof shall be paid into the PACAM Fixed Income Fund Proceeds Account and shall form part of the Deposited Assets.

3.6 The Designated Accounts shall be managed by the Custodian and the Custodian shall render monthly/quarterly reports on the Fund to the Fund Manager and Trustee, and file quarterly returns on all their activities to the Commission in the prescribed format.

3.7 The Trustee shall be vested with and stand possessed of the Deposited Assets upon trust for all the Unitholders. The Deposited Assets shall be held as a single common fund and no Unit shall confer any interest or share in any particular part of the Deposited Assets.

3.8 The Trustee shall have all the rights and powers conferred upon trustees by the Trustee Investment Act Cap T22, Laws of the Federation of Nigeria 2004, the ISA, the SEC Rules & Regulations as though these laws, and other relevant laws were expressly set out in this Deed.

3.9 The Trustee and the Fund Manager shall comply with the provisions of ISA, and all regulations, rules and guidelines made pursuant to it.

3.10 The powers hereby conferred on the Trustee shall be in addition to any powers which may from time to time be vested in it by general law or as holder of the Deposited Assets in so far as it does not and shall not conflict with the rights and powers vested in the Fund Manager by virtue of this Deed.

3.11 The Trustee shall at all times retain with the Custodian all the investments and all documents of title or value connected with the Fund and the Custodian shall be responsible for the safe custody and so far as practicable, the realization of the income proceeds in respect of such part of the investments as may be within it or its nominee's control.

3.12 The Trustee shall whenever it becomes necessary to enforce the terms of this Deed act within thirty (30) days and shall inform the SEC of any breach of the terms and conditions of the Deed not later than ten (10) Business Days after such breach.

3.13 The Fund Manager shall subject to the provisions of Section 171 of ISA and Clause 7 of this Deed and other relevant provisions of the ISA, the SEC Rules, this Deed and any other applicable regulation or guideline for the management of the Fund have the exclusive right and absolute power at any time to manage the Deposited Assets.

4. INVESTMENT COMMITTEE

4.1 The Fund shall have an Investment Committee, which shall be responsible for reviewing and advising the Fund Manager on any proposed investment.

4.2 The Investment Committee shall have a minimum of three members comprising, at least one independent member with no affiliation to either the Trustee or the Fund Manager nominated by the Fund Manager and approved by the Trustee, together with a representative of the Fund Manager and a representative of the Trustee.

4.3 The Fund Manager shall with the consent of the Trustee and in accordance with the decisions of the Investment Committee invest the Deposited Assets in Permissible Instruments. All investments shall be made with monies drawn from the PACAM Fixed Income Fund Proceeds Account and such investments shall be held in the joint name of the Fund and the Trustee.

5. SALE AND ISSUE OF UNITS

5.1 The Fund Manager, as the Promoter of the Fund shall subscribe to a minimum of 5% of the Offer in accordance with the provisions of Rule 450 (2) of SEC Rules and shall hold same throughout the life of the Fund.

5.2 During the Initial Subscription Period, Units shall be issued at the Initial Subscription Price.

5.3 The subscription of Units at the Initial Subscription Price shall be in the manner set out in the Prospectus and shall be made subject to a minimum subscription of 1,000 Units in respect of an initial application for subscription of the Units and thereafter in multiples of 100 Units.

5.4 The subscription of Units made by foreign Investors during the Initial Subscription Period shall be processed at the applicable foreign exchange rate on the date of payment, as determined by the applicable CBN's auction system subject to a minimum of 1000 Units in respect of an initial application for subscription of the Units, and thereafter in multiples of 100 Units. Units issued in consideration of foreign currency subscriptions will be denominated in Naira.

5.5 Investors may subscribe to Units on behalf of and in the name of minors and exercise all rights attached to the Units as provided in this Deed until the minor reaches the age of 18 years or any other age of legal maturity whereupon such minor can elect to

retain the Units or to have all or some of them redeemed or transferred in accordance with the provisions of this Deed.

5.6 The Fund Manager may commence the issue of New Units at the Offer Price in accordance with the provisions of this Deed and in furtherance to applications received during the Initial Subscription Period.

5.7 The issue of New Units shall occur continuously, subject to the issuance at anyone time of a minimum number of 10,000,000 units.

5.8 Subject to, and without prejudice to the other provisions of this Deed, the Fund Manager shall effect the issue of New Units for cash or in exchange or part exchange for Permissible Instruments and any such cash or Permissible Instruments received shall be vested in the Trustee.

5.9 The Fund Manager shall within fourteen (14) days of the end of every calendar quarter furnish to the Trustee with, management accounts providing a valuation of the investments of the Trust on a quarterly basis and from time to time on demand, a statement of all issues, sales, redemptions and repurchases of Units specifying the price at which such Units were issued or sold and giving such other information as may be necessary to enable the Trustee ascertain at any particular time, the value of the Deposited Assets.

5.10 Where a Unitholder is desirous of receiving the monetary value of his Units, he shall do so by way of redemption under the provisions of Clause 21.

5.11 The Fund Manager may issue Units in fractions of a whole number in denominations of up to a maximum of 2 decimal places.

5.12 The Fund Manager's powers shall also include the power to:

5.12.1 effect the issue of such New Units from time to time as the Fund Manager may reasonably and diligently deem fit subject to the registration of such new Units with the Commission;

5.12.2 instruct the Custodian to open the accounts contemplated under this Deed and accept all moneys due and receive all payments required under the terms of this Deed as the circumstances may determine, and

5.12.3 generally do all other acts and things, which the Fund Manager may consider desirable in connection with the effective management of the Fund.

5.12.4 subject to the provisions of Clause 8, have the exclusive right from time to time to make offers to the unitholders of units of one or more authorized unit trust schemes as defined by Section 152 of ISA by the issue of Units in exchange for such units or cash (being Permissible Instruments) represented by such units. Such offers shall be made upon such terms (including the provision for paying out of the Deposited Assets, the duties, charges, costs, fees and disbursements consequent upon such offer). Units may be redeemed in exchange for units under such other authorized unit trust schemes.

5.12.5 subject to the provisions of Clause 8, the Fund Manager shall have exclusive right to issue Units in exchange or part exchange for any Permissible Instruments which shall become vested in the Trustee and which may be issued partly in consideration of such vesting and partly for cash. Such issue shall be made upon such terms including the provision for paying out of the Deposited Assets, the duties, charges, costs, fees and disbursements consequent upon the transaction. Save for the Units issued pursuant to Clause 5.12.1, the issue of Units as provided in Clause 5.6 and this Clause 5.12.5 shall be made as the Fund Manager may deem fit with the consent of the Trustee.

5.12.6 Monies paid in subscription for New Units issued pursuant to Clause 5.6 and monies transferred in consequence of any offer or issue made pursuant to Clause 5.12.4 and 5.12.5 shall be paid or transferred to the PACAM Fixed Income Fund Proceeds Account and the New Units shall be deemed to have been constituted and to be in issue. Monies so paid or transferred shall be vested in the Trustee and held by the Custodian as part of the Deposited Assets.

5.12.7 All stamp duty and other duties payable on this Deed or upon the issuance of all units shall be payable out of the PACAM Fixed Income Fund Expense Account.

6. RIGHTS OF UNITHOLDERS

6.1 Unitholders shall have the right to share in the assets of the Fund proportionate to the number of Units held.

6.2 Unitholders shall not have or acquire any right against the Fund Manager or the Trustee in respect of Units save for such rights as are expressly conferred upon them by this Deed or by any law, subsidiary legislation, regulations or any order of court. No person shall be recognized as a Unitholder except in respect of Units registered in his name.

6.3 Unitholders shall have the right to receive Distributions and all other rights which attach and or accrue to the Units, pursuant to the provisions of this Deed, and shall be entitled, throughout the Trust Period, to receive a Fund Statement from the Fund Manager stating the number of Units issued as at the date of the Fund Statement.

6.4 A Unitholder or Unitholders holding not less than 25% in value of the Issued Units may in writing request the Trustee or the Fund Manager to convene a meeting of Unitholders.

6.5 A Unitholder shall have the right to pledge, charge, and mortgage or otherwise use his Units to secure a debt, a loan or an obligation and in any such case, shall notify the Fund Manager and the Trustee in writing by Joint Memorandum of the pledge, charge, mortgage or obligation; as well as the discharge of such pledge, charge, mortgage or obligation.

6.6 The Fund Manager shall be obliged to immediately make the information of such pledge, charge, and mortgage or obligation available to the Trustee, where there is a failure to notify either the Fund Manager and the Trustee as provided in this Clause 5, neither Party shall be held responsible for a failure to honour the terms of such pledge, charge, mortgage or obligation.

7. DESCRIPTION AND OBJECTIVE OF THE FUND

7.1 The PACAM Fixed Income Fund is an actively managed open-ended collective investment scheme authorized by the Commission whose primary objective is the steady distribution of current income to Investors/participants of the scheme, while maintaining liquidity and stability of the principal sum. Such Income will be derived from investments in permissible instruments.

7.2 The main objective of the Fund is to achieve consistent income streams through investment in the select portfolio of short term Fixed Income securities and investments described in Clause 6.1 above.

8. INVESTMENT POLICY AND INVESTMENT OUTLETS

8.1 The Fund Manager shall with a view to achieving the main objective of the Fund and subject to the approval of the SEC from time to time, invest all assets of the Fund in the Permissible Instruments with a term to maturity (where applicable) at the date of acquisition by the Fund Manager of not more than 366 (three hundred and sixty six days).

8.2 The Fund's portfolio shall maintain a weighted average maturity not exceeding 90 days.

8.3 For the avoidance of doubt, the Fund's Asset allocation is as follows:

		Weight (%)	
Proposed Instruments	**Lower Limit**	**Upper Limit**	**Target Weight**
FGN Bonds	30	60	40
Sub-National Bonds	10	35	20
Corporate Bonds	15	40	25
Other Fixed Income Securities	15	65	15

8.4 The Fund Manager may, upon obtaining the SEC's approval in accordance with the provisions of Section 187(1) (a) of the ISA, alter the Investment Policy of the Fund as set out in Clause 8.3.

8.5 The Fund Manager shall not:

8.5.1. invest all or any part of the Deposited Assets or make any investments in any units or securities of any unit trust scheme or fund managed by it or in any security of the Trustee or any associated company of the Fund Manager, Custodian or Trustee;

8.5.2. enter into any investment or any transaction which results in all or any part of the Deposited Assets being pledged, charged, mortgaged or in any other way offered as security and the Fund shall not borrow any money or obtain any credit at all for the purpose of financing its investments;

8.5.3. deal in or retain the securities of any company in which the individual officers of the Fund Manager or any of its affiliates or subsidiaries each have beneficial ownership of more than 1/2 of 1 per cent [0.5%] of the securities of such company and together more than 5% of the securities aforesaid.

8.5.4. Nothing in this Clause shall authorize the Fund Manager or the Trustee or their respective holding company or any subsidiary to act as principals in the sale of any part of the underlying assets to the Fund.

8.6 It shall not be necessary for either the Fund Manager or the Trustee to effect or cause to be effected changes in Permissible Instruments by reason of any appreciation in the value; the aggregate of the value of any Permissible Instruments in any market or industry sector or company or body or of any security or any depreciation in the value or the aggregate of the values of any Permissible Instruments as a result of either (i) any scheme or arrangement for amalgamation, reconstruction, conversion or exchange or (ii) any repayment or redemption including in the case of debentures or debenture stock following their purchase by the company or body.

8.7 The Fund Manager shall ensure periodic review of differences between amortized cost value of the fund and the market value as a result of changes in yield/prices and make a report of material deviation where amortized cost value falls below the market value. This shall be done in accordance with the procedure set out under Rule 479 of the SEC Rules and Regulations.

9. INVESTMENT RESTRICTIONS

9.1 No investment shall be approved by the Trustee in exercise of the powers conferred by the provisions of the Trustees Investments Act Cap T22 Laws of the Federation of Nigeria 2004 if the investment would cause the value of the part of the Fund so invested to exceed one-third of the total value of the Fund.

9.2 No investment shall be approved by the Trustee for the purpose of:

(a) exercising control over the management or operating policies of the issuing company/ issuers of any securities; and

(b) granting loans from any part of the Deposited Assets except that it may buy and hold qualifying instruments in accordance with the terms of this Deed.

10. MANAGEMENT OF PERMISSIBLE INSTRUMENTS

10.1 The Fund Manager shall appoint a custodian to provide custodial services in respect of the Fund.

10.2 The Custodian shall at all times retain in its possession all documents of title to the Permissible Instruments and shall be responsible for their custody.

10.3 Any investment in Permissible Instruments may at any time be realized at the discretion of the Fund Manager either in order to invest the proceeds of such realization in other Permissible Instruments or to provide the cash required for any purpose pursuant to any provision of this Deed PROVIDED ALWAYS THAT the Fund Manager complies with the principles of diligence and prudence in exercising this discretion.

10.4 Without prejudice to the foregoing provision, investments in the Permissible Instruments and which at any time or for any reason shall cease to be Permissible Instruments shall be realized by the Fund Manager and the net proceeds of such realization shall be applied in accordance with the provisions of this Deed but the Fund Manager may postpone the realization of any such Permissible Instruments for such period as it may determine to be in the best interest of the Unitholders.

11. RIGHTS ATTACHING TO INVESTMENTS

11.1 The Trustee shall not delegate to the Fund Manager or any other representative the exercise of any rights which may appertain to the Trustee in respect of the Permissible Instruments including the right to attend and vote at meetings of creditors or Investors and upon being furnished with such reasonable indemnity against costs as the Trustee shall require to take part in or consent to any corporate action or creditors' action.

11.2 With respect to any Permissible Instruments held by the Fund, no Unitholder shall have a right to attend meetings of Investors or creditors. Subject to any such direction referred to in this Clause, the Trustee shall exercise or cause to be exercised the rights in what it considers to be the best interests of the Unitholders but the Trustee nor any of its representative duly authorized nor the holder of any proxy or power of attorney shall not be under any liability or responsibility in respect of the management of the companies or bodies or in respect of any vote or action taken or omitted to be taken or consent given or omitted to be given by the Trustee or by such duly authorized representative or by the holder of any such proxy or power of attorney.

11.3 The Trustee or the custodian shall when necessary forward to the Fund Manager all notices of reports and circulars received by it or its nominees as holder of any Permissible Instruments.

12. REGISTER AND REGISTRATION OF UNITHOLDERS

12.1 The Registrar shall keep and maintain the Register and carry out such duties as may be required of a Registrar for the Fund.

12.2 The Registrar shall maintain and keep the Register in such form and in such manner as the Trustee may from time to time direct and shall permit no alteration in the form of the Register or its content without the consent in writing of the Trustee which the Trustee shall be entitled to give or to withhold at its discretion, acting reasonably.

12.3 The Registrar shall promptly comply with all requirements that may be notified to it from time to time by the Trustee as to the form and content of the Register.

12.4 The Registrar shall at all times at the request of the Trustee, supply to the Trustee all such information and explanations in relation to the Register and the content thereof as the Trustee may require.

12.5 The Registrar shall permit the Trustee or any person representing it to have access at all reasonable times to the Register and to all subsidiary records and all documents, orders, transfers, cancelled Statement of Unitholders or other papers relating to the conduct of the Register.

12.6 The Registrar shall generally perform all the functions stipulated in Rule 99 of the SEC Rules and Regulations, as may be amended from time to time.

12.7 There shall be entered in the Register the following information:

12.7.1 the number of Units held;

12.7.2 the full names, addresses and e-mail addresses of the Unitholders and if the Units are held jointly, the names, addresses and e-mail addresses of the Joint Unitholders except that not more than four (4) Joint Unitholders shall be entered in the Register in respect of any one holding of Unit;

12.7.3 the date on which the name of every such Unitholder was entered in respect of the Units standing in his name and if the Unitholder is a Unitholder by virtue of transmission, a sufficient reference to enable the name of the Survivor to be identified; and

12.7.4 the date on which any transmission is registered and the name, address and e-mail address of the Survivor.

12.7.5 The name of the bankers to the Unitholder, the branch at which his account is held and his account number/sort code.

12.8 Any change of name, address, or e-mail address or banking details on the part of any Unitholder shall forthwith be notified in writing or such other means advised by the Unitholder to the Registrar who on being satisfied and in compliance with all such formalities as it may require, shall alter the Register or cause it to be altered accordingly.

12.9 Any Unitholder or his nominee shall be entitled at all reasonable times during business hours and without charge to inspect the Register PROVIDED ALWAYS that if the Register is maintained in or by some mechanical or electronic system, the provisions of this Clause will be satisfied by the production of legible evidence of the contents of the Register.

12.10 The Register shall be conclusive evidence as to the persons entitled to the Units stated in it and no notice of any trust, express, implied or constructive shall be entered upon the Register in respect of any such Units nor shall the Registrar, save as otherwise provided in this Deed or except as ordered by a court of competent jurisdiction or as by statute required, be bound to recognize (even when having notice) any trust or equity affecting the ownership of such Units or the rights incidental to them.

12.11 On the bankruptcy or liquidation or death of anyone of joint Unitholders, the Survivor of the joint Unitholders shall be the only person or persons recognized under this Deed as having any title to or interest in the Units represented by such Fund Statement as the case may be and upon producing such evidence of bankruptcy or liquidation or death as the Registrar may require and delivering up the Fund Statement, the Survivor shall be entitled to have the Fund Statement duly endorsed or to have a fresh Fund Statement duly issued in the Survivor's name as may be appropriate.

12.12 A body corporate may be registered as a Unitholder or as one of joint Unitholders.

12.13 The Register shall be closed for a maximum period of thirty (30) days in one calendar year and for such periods as the Trustee may from time to time determine and upon giving to the Unitholders at least two weeks' notice of the intention to close same by publication in at least two national daily newspapers.

13. TRANSFER & TRANSMISSION OF UNITS

13.1 The executors or administrators of a deceased Unitholder (not being one of joint Unitholders) or of the last surviving member of joint Unitholders as the case may be shall be the only persons recognized under this Deed as having any title to or interest in the deceased Unitholder's Units.

13.2 Any person becoming entitled to any Units in consequence of the death or bankruptcy or winding up of any Unitholders or the Survivor of joint Unitholders shall upon producing such evidence that he is duly authorized to act in the capacity in respect of which he proposes to act under this Clause or evidence of his title as the Registrar shall consider sufficient and on delivering up the Fund Statement, if any, of the deceased or bankrupt Unitholder or winding up or order of court as the case may be to the Registrar for cancellation, be entitled to elect either to be registered as the holder of such Units and to have his name or that of his nominee or some other person or persons entered into the Register and be issued a new Fund Statement in his name or the name of the nominee or such other person so appointed by him. If the person so becoming entitled shall elect to be registered himself he shall deliver or send to the Fund Manager a notice in writing in a form to be prescribed by the Fund Manager signed by him stating that he so elects. If he shall elect to have some other person nominated by him so registered, he shall testify his election by executing to such other person an assignment of such Units. All the provisions of this Deed relating to transfers of Units shall be applicable to any such notice or assignment as if the death or bankruptcy or dissolution or winding up of the Unitholder had not occurred and the notice or assignment was being executed by the Unitholder.

13.3 A person becoming entitled to Units in consequence of the death or bankruptcy or winding up of a Unitholder or the Survivor of joint Unitholders shall be entitled to receive and may give good discharge for all moneys payable in respect of the Unitholder but he shall not be entitled to the rights of a Unitholder with regard to the receipt of notices of or attendance or voting at any meetings of Unitholders until he shall have been registered as a Unitholder in respect of the Units.

13.4 With the consent of the Trustee, a reasonable fee shall be charged in respect of the registration of any grant of probate, letters of administration, power of attorney, certificate of marriage, certificate of death or such evidence of bankruptcy or liquidation or death as the Fund Manager may require and delivering up the Fund Statement; the Survivor shall be entitled to have the Fund Statement duly endorsed or to have a fresh Fund Statement duly issued in the Survivor's name as may be appropriate.

13.5 A Unitholder hereinafter called the **"Transferor Unitholder"** may transfer all or part of his Units to some other person hereinafter called the **"Transferee Unitholder"** upon the payment of a nominal transfer charge as determined by the Fund Manager with the consent of the Trustee and by delivering to the Fund Manager:

13.5.1 An instrument in common form signed by him as transferor and the Transferee Unitholder as transferee;

13.5.2 The Fund Statement for the Units being transferred; and

13.5.3 A letter written and signed by him stating that he is transferring a specified number of Units to the Transferee Unitholder.

13.6 The Transferor Unitholder shall be deemed to remain the holder of the Units being transferred until the name of the Transferee Unitholder is entered in the Register in respect of thereof.

13.7 Where the Transferor Unitholder transfers any part of his Units he shall be entitled to a new Fund Statement for the Units not transferred that are comprised in any Fund Statement delivered to the Fund Manager under Clause 12.5.

14. ISSUANCE OF FUND STATEMENTS

14.1 Fund Statements to be issued to successful applicants under the Offer shall be issued within fifteen (15) Business Days of the Allotment Date.

14.2 Fund Statements for New Units issued pursuant to Clause 4.6 of this Deed shall be issued to each Unitholder within fifteen (15) Business Days of the date of purchase of such New Units.

15. FORM AND EXECUTION OF FUND STATEMENTS

15.1 A Fund Statement shall specify the number of Units held on the date of the statement and shall be in the form set out in the Second Schedule or in such other form as the Trustee and the Fund Manager may agree or the circumstances may require.

15.2 Every Fund Statement shall be in electronic form, to be dispatched by the registrar by email. This shall serve as evidence of ownership of Units.

15.3 If the Fund Manager is replaced or if there is any change in its control or ownership or the control or ownership of its holding company, then in such case the Trustee may in its absolute discretion but subject to the approval of SEC require that every Fund Statement shall be prepared and signed in such manner as the Trustee shall specify at such time.

16. REPLACEMENT OF FUND STATEMENT

16.1 If any Fund Statement is inadvertently not sent by the Fund Manager to a Unitholder or if sent by registered post, but not received by the Unitholder, the Fund Manager upon being notified by such Unitholder, shall arrange for the issue of a new Fund Statement in its place, upon proof to the satisfaction of the Fund Manager and on giving such indemnity as the Fund Manager may deem adequate, a new Fund Statement in lieu may be given to the Unitholder. An entry as to the issue of the new Fund Statement and indemnity shall be made in the Register.

16.2 Before issuing any Fund Statement under the provisions of this Clause, the Fund Manager (save for where the Fund Manager did not send the Fund Statement or same was sent but not received by the Unitholder) may require from the applicant for the Fund Statement, a payment to it of an administrative fee. The Fund Manager shall not be required or obliged to arrange for the issue of a new Fund Statement to a Unitholder pursuant to these Clauses unless such Unitholder shall first have paid to the Fund Manager all fees, charges and expenses payable.

17. DISTRIBUTION OF INCOME/ REINVESTMENT

17.1 The Net Income of the Fund shall be distributed to the Unitholders in such form, manner and amount as the Fund Manager and Trustee may agree, in line with the provisions of this Trust Deed and subject to applicable law and regulations.

17.2 Distributions will be made to Unitholders on the Distribution Payment Date. Unitholders have the option of automatically reinvesting the Net Income in New

Units at the Net Asset Value per Unit or receiving cash via electronic transfer to Unitholders' respective bank accounts.

17.3 Election to receive Distributions in cash or by way of reinvestment in New Units shall be made by Unitholders at the time the Units are subscribed for or purchased and may be changed by written notice to the Fund Manager at any time that is received by the Fund Manager, not less than 14 days before the Distribution Payment Date. PROVIDED that unless an election to the contrary is made, the Fund Manager shall treat the Distributions in the manner last elected by the Unitholder(s).

17.4 Unitholders who elect to have their Distributions reinvested in New Units shall be entitled to an issue of New Units that shall be equal in value to the amount they otherwise would have received in cash as a Distribution. The Fund Manager shall issue Fund Statements evidencing the number of New Units allotted to such Unitholders pursuant to this Clause.

17.5 All payments to Unitholders shall unless otherwise indicated by the Fund Manager, be effected by electronic transfer to the Unitholders bank account as specified in the Register.

17.6 The Fund shall accrue interest on basis of daily amortization on streams of income derived from investment in Permissible Instruments. The amortized method recognizes the principal amount invested and the daily accrual of interest income.

17.7 Dividend on the Fund will be computed based on income less operating expenses and fees accrued on a daily basis on the principal amount invested.

17.8 Dividend on the Fund will be paid out to Unitholders that elect such option or reinvested, net of operating expenses and fees every quarter of each financial year.

18. FINANCIAL YEAR

The Financial year of the Fund shall be 1st January to 31st December, and accordingly, the year-end of the Fund will be 31st December in every year.

19. REPORTS, FINANCIAL STATEMENTS AND AUDITED ACCOUNTS

19.1 The Fund Manager shall cause proper books of accounts to be kept and send an annual report to the Trustee not later than three (3) months after the end of each financial year and the Trustee shall be absolutely protected in relying upon the report. The report shall show:

19.1.1 the gross income per Unit for the year to which it relates;

19.1.2 the amount payable per Unit in respect of expenses made by the Trustee for the year to which it relates stating that the same has been provided in the manner required by this Deed;

19.1.3 the amount payable per Unit in respect of expenses made by the Trustee out of the Fund for the year to which it relates in accordance with the provisions of this Deed, and deducted in computing the amount available for Distribution;

19.1.4 the amount payable per Unit in respect of withholding tax deductions;

19.1.5 where relevant, the amount payable per Unit in respect of any start-up expenses (in the first financial year) and other general expenses; and

19.1.6 in percentage form, the major investments which on the last day of the year to which it relates, constituted the Fund.

19.2 At least once in every financial year, the Fund Manager shall cause to be audited and certified by the Auditors, the accounts relating to the management of the Fund. The audited accounts of the Fund shall be signed by the Fund Manager and the Trustee and shall contain all the information as may from time to time be required by SEC.

19.3 The results of the audit referred to in Clause 19.4 above (upon prior approval of same by the Commission), together with the annual reports (full or abridged versions) and any other accounts relating to the Fund including the accounts of the Fund Manager in relation to the Fund, statements of remuneration in connection therewith and performance reports shall be circulated to the Unitholders no later than three (3) months after the end of each financial year.

19.4 A copy of the accounts certified by an Auditor and the Auditor's Report shall be sent by the Fund Manager to the Commission and the Trustee and shall also be published in 2 national newspapers within three (3) months following the period to which the accounts relate or as the Commission may from time to time specify.

19.5 The first accounts shall relate to the period from the date of this Deed up to 31st December of the year in which the Deed was executed or the subsequent year at the discretion of the Trustees but shall not exceed a period of eighteen months from the date the Deed is executed.

19.6 The audit certificates appended to the accounts and statements referred to in this Clause 19 shall declare that the accounts and statement accompanying them have been examined with the books and records of the Fund and the Fund Manager in relation thereto as the case may be and that the Auditors have obtained all the information and explanations they have required; and the Auditors shall report whether the accounts and statements are in their opinion properly drawn up in accordance with such books and records and whether in the case of the accounts referred to in this Clause, they give a true and fair view of the profits and losses accruing to the Fund.

20. NOTICES

20.1 All notices or other documents directed to be given, or sent by the Trustee or the Fund Manager to a Unitholder shall (unless the Trustee or the Fund Manager as the case may require shall otherwise in writing direct) be sent by post, email, fax, or courier to the Unitholder at his address as it appears on the Register and in the case of joint Unitholders shall be sent or made to the joint Unitholder who is named first on the Register. A notice so given shall be sufficient notice to all such joint Unitholders. Any notice to be given to a Unitholder under this Deed which is sent by registered post, shall be deemed to have been received by the Unitholder three (3) days following the day on which it was posted and in proving such service it shall be sufficient to prove that the envelope or wrapper containing the notice was posted. Where a notice is sent by courier it shall deemed to be duly given or made when delivered and when sent by fax it shall deemed to be duly given or made when received provided that the sender has received confirmation of proper transmission.

20.2 All notices or other communications to be given to the Trustee or the Fund Manager shall be made in writing and sent by courier or hand delivery or facsimile transmission or email to the recipient's address or facsimile number or email address respectively as notified by the recipient and shall be deemed to be duly given or made when delivered (in the case of courier or hand delivery) or when transmitted (in the case of facsimile transmission or email, provided that the sender has received confirmation of proper transmission).

20.3 A notice or other communication received on a day other than a Business Day, or after business hours, in the place of receipt shall be deemed to be given on the next following Business Day.

21. UNITHOLDERS' RIGHT OF REDEMPTION

21.1 Unitholders shall be entitled to redeem all or part of the Units held by them at the Price on any Business Day after receipt of Fund Statement, upon a request to the Fund Manager and by lodging the Redemption Documents with the Fund Manager.

21.2 No additional charges will be required on redemption PROVIDED that where a Unitholder redeems all or any part of the units held by it before the expiration of the minimum holding period of 30 days days, such Unitholder shall pay a processing fee amounting to 0.5% of the interest accrued on the Redemption proceeds.

21.3 The Fund Manager shall effect the Redemption from the liquidation of Permissible Instruments or from cash holdings of the Fund by payment via a transfer or account credit to the Unitholder's account as specified in the Register within 5 Business Days from the date on which the Redemption Documents are received by the Fund Manager.

21.4 Redemption Documents must be lodged with the Fund Manager not later than 5p.m. on a Business Day during the Redemption Period. Redemption Documents delivered after 5p.m. shall be deemed to have been delivered on the next Business Day.

21.5 All Fund transfers shall be made to the account of the Unitholder only and not to a 3rd Party's accounts. The Unitholder's account to which payment will be made shall be the bank account specified in the Register and any change to the account details in the Register must be accompanied by a Banker's confirmation in relation to such new account details.

21.6 The Fund Manager shall not honor any Redemption request if such Redemption is for an amount that is less than 1,000 units or such other minimum number of units as the Fund Manager may from time to time prescribe in writing and if a Redemption request shall result in the total number of Units held by a Unitholder to fall below 1,000 units, or such balance as advised by the Fund Manager from time to time, the Unitholder shall be required to redeem all his Units.

21.7 No Redemption shall be permitted if the Fund Manager has suspended the redemption of Units in accordance with this Trust Deed and all applicable laws and regulations. The Fund Manager may suspend redemption of Units if:

21.7.1 the total value of the Units requested to be redeemed by Unitholders on a single day exceeds 30% of the Net Asset Value on the relevant day in which case redemption shall be suspended for a period not exceeding 5 Business Days; or

21.7.2 there is a discrepancy in the total number of Units held by the Unitholders as stated in the Redemption Documents and the Register, Provided that in this instance, the Fund Manager shall reconcile such discrepancy within five (5) Business Days from the date on which the Redemption Documents are received by the Fund Manager

21.8 T. The applicable redemption price payable by the Fund Manager shall be the Bid Price displayed at the Fund Manager's office on the day the Redemption Documents are lodged with the Fund Manager. The Fund Manager shall carry out daily valuations of the Fund.

21.9 No redemption request shall be valid or honored by the Fund Manager unless the Unitholder shall first deliver to the Fund Manager, the Redemption Documents or at the option of the Fund Manager, produce such evidence of his title to the Units for redemption as the Fund Manager shall think sufficient.

21.10 Where only part of the Units comprised in a Fund Statement are to be redeemed, the Fund Manager shall procure a balance Fund Statement to be issued free of charge for the balance of the Units comprised in a Fund Statement .

21.11 The Fund Manager may at its sole discretion, dispense with the production of a Fund Statement which shall have become lost, stolen or destroyed upon compliance by the Unitholder with the like requirements to those arising in the case of an application by him for the replacement thereof.

21.12 Where realization is to be effected by cancellation of Units, the Fund Manager shall proceed to effect any sales necessary to provide the cash required and shall cancel a Fund Statement covering the said Units and in such event, the Fund shall be reduced by the cancellation of the said Units and the Trustee shall pay to the Fund Manager out of the Deposited Assets in respect of the cancellation of the said Units the consideration thereof. The Fund Manager shall be entitled in the name and on behalf of a Unitholder to execute an instrument of transfer in respect of any Units to be redeemed hereunder by purchase by the Fund Manager and to endorse and sign on the appropriate Fund Statement in respect of any Units to be cancelled, such statement as may be necessary or desirable as evidence that the Unitholder, no longer has any interest in the said Units PROVIDED that in either event the Fund Manager shall within a reasonable period thereafter furnish to the Trustee the authority under which it acted but the Trustee shall not be concerned to require the endorsement of any such statement and shall be entitled to cancel Units upon compliance with the procedure in this Clause provided.

21.13 The Trustee shall be under no obligation to verify the identity of any Unitholder seeking to redeem the whole or part of his Units.

22. INDEMNITIES, DUTIES AND RESPONSIBILITES

The Fund Manager:

22.1 Subject to the provisions of Section 168 of the ISA and without prejudice to any indemnity allowed by law or given by this Deed to the Fund Manager, the following provisions shall apply in addition to any other such powers, duties and indemnities so given.

22.2 Fund Manager shall not incur liability to the Unitholders for doing or failing to do any act or thing which by reason of any provision of any present or future law or regulation or of any decree, order or judgment of any Court, or by reason of any request, announcement or similar action which may be taken or made by any person or body acting with or purporting to exercise the authority of any government (whether legally or otherwise) which the Fund Manager shall be directed or requested to do or perform or to forbear from doing or performing.

22.3 The Fund Manager shall be entitled to require that the signature of any Unitholder or joint Unitholder to any document required to be signed by him or them under or in connection with this Deed shall be verified by a banker or otherwise authenticated to its or their reasonable satisfaction.

22.4 The Fund Manager may in relation to anything required to be done pursuant to this Deed act on the opinion or advice or any information obtained from any legal practitioner, accountant, broker or any other persons believed by the Fund Manager in good faith to be experts in relation to the matters upon which they are consulted.

22.5 The Fund Manager shall not be liable to account to any Unitholder or otherwise for any payment made or suffered by the Fund Manager reasonably and in good faith to any duly empowered fiscal authority in Nigeria or elsewhere for taxes or other charges in any way arising out of or relating to any transaction of whatever nature in accordance with the provisions of this Deed.

22.6 The Fund Manager shall in no way be liable to make any payment hereunder to any person except out of the monies of the Fund set aside for that purpose.

22.7 The Fund Manager shall subject to the provisions of this Deed be entitled to destroy all instruments of redemption or Redemption Documents which have been

registered at any time after the expiration of six (6) years from the date of its registration; and all Fund Statement which have been cancelled at any time after the expiration of six (6) years from the date of its cancellation; and all registers, statements and other records and documents relating to the Fund at any time after the expiration of six (6) years from the date of their cancellation; and all registers, statements and other records and documents relating to the Fund at any time after the expiration of six (6) years from the termination of the Fund. The Trustee shall be under no liability whatsoever in consequence thereof and every Fund Statement so destroyed shall be deemed to have been a valid Fund Statement duly and properly cancelled.

PROVIDED always that:

22.7.1 the provisions of Clause 22.7 above shall apply only to the destruction of a document in good faith and without notice of any claim [regardless of the parties to such claim] to which the document might be relevant;

22.7.2 nothing in Clause 22.7 shall be construed as imposing upon the Trustee any liability in respect of the destruction of a document earlier than as stated or in any case where the conditions of Clause 22.7.1 are not fulfilled;

22.7.3 references in Clause 22.7 to the destruction of any document include references to its disposal in any manner.

22.8 If for any reason it becomes impossible or impracticable to carry out any of the provisions of this Deed, the Fund Manager shall not be under any liability therefore or thereby and shall not incur liability by reason of any error of law and in the absence of fraud or negligence for any matter or thing done or suffered to be done or omitted to be done in good faith pursuant to this Deed. PROVIDED ALWAYS that nothing in this Clause shall be construed as exempting the Fund Manager from, or indemnifying the Fund Manager against, liability for breach of its obligations under this Agreement, where having regard to the provisions of this Deed conferring on the Fund Manager any powers, authorities or discretions, the Fund Manager fails to exercise the degree of care and diligence required of it as Fund Manager.

22.9 The Fund Manager and any company which is a subsidiary or holding company of the Fund Manager or a director or executive officer of the Fund Manager shall not carry out any transaction for itself or make any profit for itself from any transactions using the Deposited Assets.

22.10 The Fund Manager and any company which is a subsidiary or holding company of the Fund Manager shall not:

22.10.1 borrow money on behalf of the Fund for the purpose of acquiring Permissible instruments for inclusion in the Fund;

22.10.2 lend any money that is subject to the Trust to a person to enable him purchase Units;

22.10.3 mortgage or charge or impose any other encumbrance on any securities or property held or to be held subject to the Trust;

22.10.4 engage in any transactions that are not in the interest and for the benefit of Unitholders or the Fund.

22.11 The Fund Manager shall undertake an annual rating of the Fund and shall also disclose same.

The Trustee:

22.12 Subject to the provisions of Section 168 of the ISA and without prejudice to any indemnity allowed by law or given by this Deed to the Trustee, the following provisions shall apply in addition to any other such powers, duties and indemnities so given.

22.13 The Trustee shall not incur liability to the Unitholders for doing or failing to do any act or thing which by reason of any provision of any present or future law or regulation or of any decree, order or judgment of any Court, or by reason of any request, announcement or similar action which may be taken or made by any person or body acting with or purporting to exercise the authority of any government (whether legally or otherwise) which the Fund Manager shall be directed or requested to do or perform or to forbear from doing or performing.

22.16 The Trustee shall not by reason of its office be precluded from purchasing, holding, dealing in or disposing of Units or at any time contracting or entering into any financial, banking or other transaction with the Fund Manager or any Unitholder or any company or body whose equity or securities form part of the Deposited Assets or from being interested in any such contract or transaction or from holding any shares or any investment in any such company or body and the Trustee shall not except as otherwise provided in this Deed be in anyway liable to account either to the Fund Manager or to the Unitholder or any of them for any profits or benefits

made or derived by the Trustee thereby or in connection therewith Provided that the Trustee shall not make profit for itself from any transaction in any assets held by it under the Fund and shall not engage in any transaction that is not in the interest of the Unitholders and the Fund.

22.17 The Trustee shall not be under any obligation to appear in, prosecute or defend any action or suit in respect of the provisions of this Deed or in respect of the Deposited Property or any part thereof or take part in or consent to any corporate or investors' action which in its opinion might involve it in any expense or liability unless Unitholders holding not less than 75% of the registered Units or the Fund Manager shall so request in writing.

22.18 The Trustee shall be entitled to reimbursement of all expenses incurred in connection with, defending any claim or appearing in any action or suit relating to the provisions hereof, or in respect of the Deposited Assets or any part thereof or any corporate or Investors' action and shall be indemnified by the Fund/the Fund Manager against any damages or liabilities suffered in connection with the Trustee's performance of its role under this Trust Deed unless such damage or liability is a direct result of the Trustee's gross negligence, dereliction of duty or fraud.

22.19 In no event shall the Trustee be bound to make any payment to any person except out of the funds held by it for that purpose under the provisions of this Deed.

22.20 The Trustee may act upon the advice of or information obtained from legal practitioners or other specialists/advisers whether instructed by it or by the Fund Manager and it may also act upon statements of or information or advice obtained from the Fund Manager or any bankers, accountants, brokers and other persons believed by the Trustee in good faith to be experts in relation to the matters upon which they are consulted and the Trustee shall not be liable for anything done or omitted or suffered to be done by it in reliance upon such advice, statement or information.

22.21 The Trustee shall not be responsible for any misconduct, mistake, oversight, error of judgment or want of prudence on the part of the Fund Manager and where the Trustee is penalized for such misconduct, mistake, oversight, error of judgment or want of prudence on the part of the Fund Manager, the Fund Manager shall reimburse the Trustee of the penalty sum. The Trustee shall also not be responsible for any misconduct, mistake, oversight, error of judgment or want of prudence on the part of any banker, accountant, broker, legal practitioner, agent or other person acting pursuant to this Deed as agent or adviser of the Trustee.

22.22 Subject as may otherwise be provided in this Deed, the Trustee shall not in any circumstances be responsible for the purchase or selection of any investment nor for the sale, exchange or alteration of any investment but the Fund Manager, shall upon obtaining the prior approval of the Trustee and in accordance with this Deed, have absolute and uncontrolled discretion as to the purchase, selection, sale, exchange or alteration of any investment and the Trustee shall not in any circumstances be responsible for any loss howsoever arising from the exercise of such discretion by the Fund Manager.

22.23 The Trustee shall not be responsible for acting upon any resolution passed at a Meeting of the Unitholders in respect of which Minutes shall have been made and signed even though it may be subsequently found that there was some defect in the constitution of the Meeting or the passing of the resolution or that for any reason the resolution was not binding upon all Unitholders PROVIDED HOWEVER that nothing in this sub-clause 22.23 shall be construed to relive the Trustee from an obligation as trustee or to relive the Trustee from liability for any breach of trust.

22.24 If for any reason it becomes impossible or impracticable to carry out any of the provisions of this Deed, the Trustee shall not be under any liability therefore or thereby and shall not incur liability by reason of any error of law and in the absence of fraud or negligence for any matter or thing done or suffered to be done or omitted to be done in good faith pursuant to this Deed. PROVIDED ALWAYS that nothing in this Clause shall be construed as exempting the Trustee from, or indemnifying the Trustee against, liability for breach of trust where having regard to the provisions of this Deed conferring on the Trustee any powers, authorities or discretions, the Trustee fails to exercise the degree of care and diligence required of it as Trustee.

23. REMUNERATION OF THE FUND MANAGER, TRUSTEE AND THE ADMINISTRATION OF THE FUND

23.1 The Fund Manager shall be entitled to receive out of the Income generated during the year to which the payment relates for its own account and until termination of the Fund an annual Management Fee of 1% of the Net Asset Value of the Fund. The Management Fee shall be paid quarterly in arrears.

23.2 In addition to the Management Fee, the Manager shall be entitled to an annual incentive fee of up to 20% of total returns in excess of 10% of the Fund's Net Asset Value per annum.

23.3 The remuneration of the Trustee shall be payable by the Fund Manager out of the Net Income. The Trustee shall during the subsistence of the Trust hereby created be entitled to an annual fee of 0.1% of the Net Asset Value which fee shall be payable quarterly in arrears. The fees payable to the Trustee may be reviewed in accordance with any agreement subsequently reached between the Trustee and the Fund Manager and approved by the SEC.

PROVIDED HOWEVER that if for any reason, the Trust hereby created is determined and the Trustee becomes obliged to effect a Distribution of the Deposited Assets to the Unitholders, the Trustee shall be entitled to receive a fee to be agreed upon between the Fund Manager and the Trustee

The Trustee shall also be entitled to be reimbursed for all reasonable expenses, costs and charges which may be or are incurred by it in connection with the execution of the Trusts and the exercise of the powers and discretions vested in it by this Deed.

23.4 The Custodian on the instruction of the Fund Manager shall be responsible for payment out of the Fund of all fees and expenses incurred or to be met from time to time in connection with the management or trusteeship of the Fund including but not limited to Management Fees and expenses, the Trustee's fees, custodial fees, solicitor's fees, cost and expenses, fees and expenses of the Auditors, fees payable to SEC, advertising and promotional expenses, brokerage and other trading costs, and all such other reasonable expenses as are duly incurred or are to be incurred by and on behalf of the Fund, the aggregate of which shall not exceed 5% of the Net Asset Value of the Fund per annum.

23.5 In consideration of the foregoing, neither the Trustee nor the Fund Manager shall, except with the approval of SEC, make any further charge against Unitholders or against the Deposited Assets or against any Distribution for their services or for their normal expenses hereunder.

24. COVENANTS BY THE FUND MANAGER

The Fund Manager hereby covenants with the Trustee as follows:

24.1 not to make a profit for itself from transactions in any assets held under the Fund and to avoid a conflict of interest in the performance of its duties;

24.2 to carry on and conduct the business of the Fund in a diligent manner, and expeditiously carry out the purpose for which the Units are issued;

24.3 to keep proper books of accounts for the Fund in the English language and therein make true and proper entries of all affairs of the Fund and procure that the books shall within not less than 24 hours written notice at all reasonable times during business hours, be open for inspection by the Trustee;

24.4 not to borrow money on behalf of the Fund for the purpose of acquiring securities or other property for the Fund or otherwise.

24.5 to give to the Trustee such information requested in writing as to all matters relating to the affairs or business of the Fund which it shall reasonably require and furnish to the Trustee, not later than three (3) months (or such extended period not exceeding a further period of three (3) month as SEC may in exceptional circumstance allow) after the end of the period to which such accounts relate, two copies of every balance sheet profit and loss account of the Fund certified by the Auditors;

24.6 not to lend money that is subject to the trusts of the Fund to a person to enable him to purchase Units of the Fund, or otherwise.

24.7 not to mortgage, charge or impose any other encumbrance on any securities or other property subject to the trust of the Fund.

24.8 not to engage in any transactions with respect to or for the Fund that are not, in its opinion, in the best interests of Unitholders and of the Fund.

24.9 not to deviate from or alter the Investment Policy of the Trust without due recourse to the provisions of this Deed and the law regarding same.

24.10 it shall give written notice to the Commission of any proposal to alter the scheme or replace the Trustee as required by section 187 of the ISA; and

24.11 to act at all times with reasonable skill, care and diligence, with prudence and honesty in relation to all moneys and accounts kept for the purpose of the Fund and in the interests of the Unitholders.

25. COVENANTS BY THE TRUSTEE

25.1 With the exception of the selection of investments and except as otherwise set out herein, the Trustee covenants that effective control over the affairs of this Fund shall be vested in the Trustee and will be independently exercised by the Trustee on behalf of the Unitholders.

25.2 The Trustee undertakes to notify the Commission of any proposed change in the management of the Fund during the entire period of the existence of the Fund.

25.3 The Trustee shall not be under any liability on account of anything done or suffered by it in good faith in accordance with or in pursuance of any request, notice, direction or advice of the Fund Manager. Whenever any request, notice or other communication is to be given by the Fund Manager to the Trustee, the latter may accept as sufficient evidence a document signed on behalf of the Fund Manager by any two persons whose signatures the Trustee is for the time being authorized in writing by the Fund Manager to accept.

25.4 The Trustee shall as regards all the powers and discretions vested in it under this Deed have absolute and uncontrolled discretion as to its exercise or non-exercise and in the absence of fraud or negligence the Trustee shall not be in any way be responsible for any loss, costs, expenses or damages that may result from its exercise or non-exercise.

25.5 The Trustee undertakes to notify SEC of any breach of any of the provisions of this Deed not later than thirty (30) Business Days after the breach. The Trustee undertakes further that whenever it shall become necessary for it to enforce any of the provisions of this Deed it shall act within thirty (30) Business Days to effect the enforcement.

26. DEALINGS WITH FUND STATEMENT

Notwithstanding anything in this Deed, neither the Trustee nor the Fund Manager nor any party shall be required or obliged to effect any transaction or dealing with Fund Statement or with any part of the Permissible Instruments or of the Deposited Assets on behalf or for the benefit or at the request of any Unitholder or joint Unitholder unless such Unitholder or joint Unitholder shall first have paid in cash to the Trustee or the Fund Manager or to any such party or otherwise provided to its or their satisfaction as the case may be for all duties and charges and any necessary stamp duty which may have become or may be payable in respect of or prior to or upon the occasion of such transaction or dealing PROVIDED always that the Trustee or the Fund Manager or such other party shall be entitled if they (as the case may be) so think fit to pay and discharge all or any of such duties, charges or stamp duty on behalf of the Unitholder and to retain the amount so paid out of any money or property to which such Unitholder may be or become entitled in respect of his Units or otherwise howsoever hereunder.

27. REMOVAL OF THE REGISTRAR

27.1 If the Trustee in consultation with the Fund Manager for good and sufficient reasons is of the opinion that it is expedient in the interest of the Unitholders to remove the Registrar of the Fund, the Trustee shall in consultation with the Fund Manager take such steps as may be necessary to effect such removal. Removal of the Registrar shall be effective immediately and the removed Registrar shall transfer to the Fund Manager, all records, documents and registers kept or maintained by it with regards to the fund.

27.2 The Trustee in consultation with the Fund Manager, shall within thirty (30) Business Days from the date of removal of the Registrar, appoint a new Registrar within which time the Fund Manager shall assume the duties of the Registrar.

27.3 Upon the appointment of a new Registrar, the Fund Manager shall ensure that it transfers to the newly appointed Registrar all records, documents and registers kept or maintained by it with regards to the Fund. The Unitholders shall be notified of such appointment in the manner provided by this Deed within five (5) Business Days of the date the appointment takes effect.

28. REMOVAL AND RETIREMENT OF TRUSTEE

28.1 In the event of the Trustee desiring to retire or where the Fund Manager seeks to remove the Trustee, the Trustee and the Fund Manager shall first notify the Commission stating reasons for the retirement or removal of the Trustee. The Fund Manager and the Trustee shall also furnish the Commission with relevant information as to the suitability of the new Trustee to be appointed in place of the retiring Trustee.

28.2 The Fund Manager shall use its best endeavors to appoint a new Trustee within three (3) months of notice to the Commission of the Trustee's intention to retire or the removal of the Trustee as the case may be. The new Trustee shall be an incorporated company registered with the Commission and approved by a majority of the Unitholders. If no new Trustee is identified within that period, the Fund Manager may terminate the Trust.

28.3 The Trustee shall be subject to removal by notice in writing from the Fund Manager in any of the following circumstances PROVIDED THAT in any case the proposed removal must be approved by the Commission or one 1 month has passed since notice was served on the Commission without the Commission having notified the Fund Manager that the proposed removal is not approved:

28.3.1 if Unitholders holding not less than 75% of the Issued Units deliver to the Fund Manager a request in writing that the Trustee should retire;

28.3.2 if the Trustee goes into liquidation (except for a voluntary liquidation for the purpose of reconstruction or amalgamation upon terms previously approved in writing by the Fund Manager) or if a receiver is appointed over any of its assets;

28.3.3 if in the opinion of the Fund Manager, which opinion is confirmed by Unitholders holding a simple majority of the Issued Units attending the meeting in person or by proxy, the Trustee shall be incapable of performing or shall have in fact failed to perform its duties satisfactorily or shall have done any other thing which is calculated to bring the Fund into disrepute or be harmful to the best interests of the Unitholders or is a breach of the Trustee's fiduciary duties to the Fund.

28.4 Upon removal of the Trustee, the Fund Manager shall by writing under its seal and subject to the approval of the Commission appoint some other qualified corporation to be the Trustee, and such corporation shall enter such Deed or Deeds as the Fund Manager deems it necessary or desirable to be entered by such corporation in order to secure the due performance of its duties as Trustee during the remainder of the Trust Period.

28.5 The Trustee shall be entitled to retire as Trustee at any time upon first giving to the Fund Manager and the Commission not less than 3 months written notice of its intention to retire.

28.6 Where the appointment of a Trustee is terminated or a Trustee retires in accordance with this Clause 28, the Trustee shall within seven (7) days submit a report to the Commission stating:

28.5.1 the assets and liabilities of the Fund;
28.5.2 whether any irregularity or undesirable practice has taken place or is taking place in the conduct of the affairs of the Fund which has caused or is likely to cause financial loss to Unitholders;
28.5.3 particulars of any such irregularity or undesirable practice; and
28.5.4 the reason if known for the termination of its appointment.

28.7 Upon the removal of or retirement of the Trustee, the Trustee shall within 14 days return all properties and documents of the Fund in its possession to the Fund Manager.

29. REMOVAL OR RETIREMENT AND APPOINTMENT OF FUND MANAGER

29.1 In the event of the Fund Manager desiring to retire, the Trustee shall use its best endeavors to find a new Fund Manager. If within three (3) months of notice by the Fund Manager seeking to retire no suitable replacement is identified, the Trustee may terminate the Trust by giving three (3) months notice to this effect to the Unitholders, the Fund Manager and the Commission.

29.2 The Fund Manager shall be subject to removal by notice in writing given by the Trustee in any of the following circumstances PROVIDED THAT in every case the proposed removal has been approved by the Commission or one (1) month has passed since notice was served on the Commission without the Commission having notified the Trustee that the proposed removal is not approved:

29.2.1 the Unitholders representing more than 75% of the Issued Units for the time being deliver to the Trustee a request in writing that the Manager should retire or;

29.2.2 the Fund Manager goes into liquidation (except for a voluntary liquidation for the purpose of reconstruction or amalgamation upon terms previously approved in writing by the Trustee and the Commission) or if a receiver is appointed over any of its assets; or

29.2.3 the Trustee certifies and provides evidence to the satisfaction of the Commission to the effect that the Fund Manager has been fraudulent or has acted with gross misconduct in its management of the Fund and it is in the best interests of the Unitholders that the Fund Manager should be removed.

29.3 In any of the cases enumerated in Clause 29.2 above, the Fund Manager shall upon notice by the Trustee immediately cease to be the Fund Manager and the Trustee shall by writing under its seal subject to approval by the Commission appoint some other qualified corporation to be the Fund Manager. Such corporation shall enter such deed or deeds as the Trustee may advise are necessary or desirable to be entered by such corporation in order to secure the due performance of its duties as manager which deed or deeds shall if so required by the retiring manager; provided that neither the Trustee nor the new manager shall hold themselves out as being connected with the retiring manager in any way and furthermore shall provide that the Fund Manager to be appointed hereunder shall purchase from the retiring

manager all Units of which it is Unitholder or deemed to be Unitholder at the prevailing Offer Price.

29.4 The Fund Manager may retire from the management of the Fund if for good and sufficient reasons; it is no longer desirous or capable of managing the Fund by giving three (3) months prior notice to the Trustee and the Commission or for any reason whatsoever SEC signifies that it is no longer eligible to act as Manager for the Fund.

29.5 Upon the removal of or retirement of the Fund Manager, the Fund Manager shall within fourteen (14) days return all properties and documents of the Fund in its possession to the Trustee.

30. APPOINTMENT AND REMOVAL OF AUDITORS

30.1 The Fund Manager in consultation with the Trustee and Custodian shall appoint the Auditors. The Auditors shall be a firm qualified for appointment as an auditor of a company under Section 358 of CAMA and registered by the Commission according to Section 184 (1) of the ISA for the purpose of auditing the whole of the business of the Fund.

30.2 Notwithstanding any agreement between the Fund Manager and the Auditors, the Unitholders may by an ordinary Resolution remove the Auditors before the expiration of the Auditors' term of appointment and where such a resolution removing the Auditors is passed at a General Meeting of the Unitholders the Fund Manager shall within fourteen (14) days of the meeting give formal notice of that in the prescribed form to the Trustee, the Auditors and the SEC.

30.3 The remuneration of the Auditors shall be fixed by the Fund Manager with the consent of the Trustee.

30.4 The Auditors of the Fund may resign their office by serving a notice in writing to that effect at the registered office of the Fund Manager and any such notice shall operate to determine their office on the date on which notice is received or on such later date as may be specified therein.

30.5 The Auditors' notice of resignation shall not be effective unless it contains either:

30.5.1 a statement to the effect that there are no circumstances connected with their resignation which they consider should be brought to the notice of the Unitholders; or

30.5.2 a statement setting out the circumstances connected with their resignation which they consider should be brought to the notice of the Unitholders.

30.6 Where a notice under this section is served at the Fund Manager's registered office, the Fund Manager shall within 14 (fourteen) days send a copy of the notice to the Trustee.

31. EVENTS OF TERMINATION

31.1 The Trust constituted by this Deed shall subsist for a period of 96 years unless terminated in the following circumstances:

31.1.1 if the Fund Manager is of the opinion, and so advises the Trustee, that the investment objective of the Fund is no longer achievable or that the value of the Fund's assets is insufficient to justify the continued operation of the Fund; or

31.1.2 if any law is passed or regulation or decision of a court of competent jurisdiction or government policy is made which in the opinion of the Fund Manager and the Trustee, renders it illegal or impractical to continue to maintain the Fund; or

31.1.3 if SEC revokes its authorization of the Fund; or

31.1.4 in accordance with Clauses 28.2 and 29.1; or

31.1.5 if the Fund Manager goes into liquidation (except a voluntary liquidation for the purpose of amalgamation or reconstruction as agreed by the Trustee and the Commission) or if a Receiver shall be appointed for the undertaking of the Fund Manager or any part thereof and no replacement of the Fund Manager within the 3 months earlier stipulated in this deed.

31.1.6 by a special resolution of the Unitholders holding not less than 75% of the Units where it is shown that the Trustee has acted in a manner prejudicial to the interest of the Unitholders or the Fund; or

31.1.7 without prejudice to Clause 31.1.6 above if the Fund Manager receives a request for termination of the fund from registered Unitholders holding not less than 75% of the Units.

32. PROVISIONS ON TERMINATION OF THE FUND

32.1 Subject to the provisions of Clause 31 and not later than one (1) month before the termination of the Fund under the provisions of this Deed, the Trustee shall give notice to the Unitholders advising them of the impending Distribution of the Deposited Assets.

32.2 Upon the Trust being terminated, the Trustee shall proceed as follows:

32.2.1 procure the sale of all investments remaining in the Trustee's possession as part of the Deposited Assets and pay therefrom all liabilities properly payable. Such sale shall be carried out in such manner and within such period after the termination of the Trust as the Trustee reasonably deems fit.

32.2.2 distribute or effect the distribution to the Unitholders in proportion to their Units all net cash proceeds derived from the realization of the Deposited Assets and available for the purpose of such distribution. Every such distribution shall be made on condition of lodging such form of request for payment and receipt that the Trustee may in its absolute discretion require PROVIDED THAT the Trustee shall be entitled to retain out of any monies in its hands as part of the Deposited Assets a provision for all costs, charges, expenses, claims and demands incurred or made by the Trustee in connection with or arising out of the termination of this Trust and out of the monies so retained to be indemnified against any such costs, charges, expenses, claims and demands.

32.2.3 In the event of termination, the liquidation of the Fund and redemption of the Unitholders' Units will be satisfied solely out of the assets of the Fund without recourse to the assets of the Fund Manager or the Trustee.

32.2.4 In the event of the winding up of the Fund Manager, the Trustee shall ensure compliance with the Rule 453 of the SEC Rules and Regulations.

33. RECONSTRUCTION AND AMALGAMATION

33.1 The Trust may be reconstructed or amalgamated upon the following conditions being satisfied:

33.1.1 the Fund Manager has finalised the terms and conditions of a scheme of reconstruction and amalgamation and has sought and received approval

from the Commission to carry out the scheme of reconstruction and amalgamation;

33.1.2 the Trustee has not dissented from the proposed reconstruction or amalgamation; and

33.1.3 the Unitholders have been informed of the particulars of the proposed reconstruction or amalgamation in a manner approved by the Trustee and a Special Resolution has been passed at a Meeting of the Unitholders approving such proposed reconstruction or amalgamation.

If such conditions have been fulfilled the proposed reconstruction or amalgamation shall take effect upon the date on which such conditions are satisfied or such later date as the Trustee may provide whereupon the terms of the Trust shall be binding upon all the Unitholders who shall be bound to give effect thereto accordingly and the Fund Manager and the Trustee shall do all such acts and things as may be necessary or requisite for the implementation thereof.

33.2 Upon the passing of the Special Resolution, the Fund Manager shall within ten (10) Business Days give notice thereof to the Unitholders. The notice shall specify the rights of Unitholders in relation to notices of dissent as provided in this Deed and any Unitholder who dissents from the terms of the Resolution may serve written notice (herein referred to as a "notice of dissent") on the Fund Manager within twenty eight (28) days after the giving of the notice by the Fund Manager and upon the Fund Manager's receipt thereof, the notice of dissent shall be deemed to act as a redemption request in respect of all or such number of the Units as are indicated on the notice and the provisions of Clause 21 shall apply.

33.3 Every Unitholder who has not dissented from the Special Resolution as aforesaid shall surrender his Fund Statement to the Trustee at the registered address provided by the Trustee or as the Trustee shall direct at any time appointed by the Trustee within a period to be specified in the notice referred to in Clause 33.2.

33.4 Any notice convening a meeting of Unitholders at which the Special Resolution referred to in this Clause is to be proposed, shall incorporate or be accompanied by a summary of the provisions of this Clause in such form as the Trustee may approve but the accidental omission to send such provisions or summary by any Unitholder shall not invalidate the proceedings at the meeting.

34. CIRCULARS

34.1 All advertisement, circulars or other documents of that nature containing any statement with reference to the Net Asset Value, Bid Price, Initial Subscription Price, Offer Price and the payment of Distributions or any other benefit to be received by Unitholders or invitation to buy New Units issued by or on behalf of the Fund Manager shall be in a form and context approved by the Trustee and the SEC before any of them is published.

34.2 Any letter, advertisement, notice, circular or other document referred to in Clause 34.1 above shall also disclose the yield from the Units and shall be in a form and context approved by the Trustee and the SEC before any of them is published.

34.3 In all letters, circulars, advertisements or other publications referring to the issue or sale of Units reference shall be made to the Trustee only in terms previously consented to by the Trustee and the Commission.

35. PAYMENTS

35.1 Any moneys payable by the Fund Manager to a Unitholder under the provisions of this Deed shall be made to the account of the Unitholder only and not to a 3rd Party account. The Unitholder's account to which payment is made shall be as provided in the Register of members and any change to this account must be accompanied by a Banker's confirmation of account details.

35.2 Where an authority in writing shall have been received by the Trustee or Manager from the Unitholder in such form and signed or sealed in such manner as the Trustee or Manager shall direct, authorising the Trustee or Manager to pay any monies due to him to a banker, agent or nominee, the Registrar shall upon the Fund Manager's instruction, pay the monies payable to the Unitholder as the case may be in the same manner and with the same effect as hereinbefore provided as if such banker, agent or nominee were the Unitholder.

36. MISCELLANEOUS

36.1 The original of this Deed and any Deeds supplemental to it shall be kept by the Trustee at its Head Office and copies of these documents shall at all times during business hours be made available by the Fund Manager and by the Trustee at their respective Head Office for inspection by Unitholders or Investors.

36.2 Unitholders shall be entitled to receive from the Fund Manager a copy of the Deed(s) referred to in this Clause on production of their Fund Statement and on payment to the Fund Manager of such sum as will cover the cost of issuing a copy of the document required and the Fund Manager shall on demand supply to the Trustee such copies of the Deeds as it may from time to time require.

36.3 This Deed may be executed in any number of counterparts, all of which taken together shall constitute one and the same agreement, and any Party may enter into this Deed by executing a counterpart.

37. POWER TO MODIFY THIS DEED

37.1 The Trustee and the Fund Manager shall be entitled with the prior approval of SEC by Deed supplemental to this Deed to modify, alter or add to the provisions of this Deed in such manner and to such extent as they may consider expedient for any purpose (including in particular and without prejudice to the generality of the foregoing any sub-division or consolidation of units) PROVIDED THAT:

37.1.1 the Trustee shall certify in writing that in its opinion such modification, alteration or addition does not prejudice the interests of the Unitholders and does not operate to release the Trustee or the Fund Manager from any responsibility to the Unitholders.

37.1.2 no such modification, alteration or addition shall be made without the sanction of a Special Resolution of a meeting of Unitholders duly convened and held in accordance with the provisions contained in the First Schedule;

37.1.3 no such modification, alteration or addition shall impose upon any Unitholder any obligation to make any further payment in respect of his Units or to accept any liability in respect of them.

PROVIDED ALWAYS that notwithstanding sub-Clause 37.1 above, the Fund Manager and the Trustee shall seek the approval of the Commission for any proposed modification to this Deed by service of notice on the Commission. Such proposed change shall not be given effect until the same has been approved by the Commission.

37.2 Without prejudice to the foregoing the Trustee and the Fund Manager shall be entitled with SEC's approval by a supplementary Deed to this Deed and without the sanction of a Special Resolution as stated in Clause 37.1.2, to modify, alter or add to the provisions of this Deed in such manner and to such extent as they may consider

necessary or expedient having regard to the provisions of the Companies Income Tax Act C21 LFN 2004 and any applicable legislation and any arrangements approved by the inland revenue authorities in relation to authorised unit trust schemes as defined in section 152 of the ISA, PROVIDED that

37.2.1 unless the Trustee shall certify in writing that in its opinion such modification, alteration or addition does not operate to release the Trustee or the Fund Manager from any responsibility to the Unitholders no such modification, alteration or addition shall be made without the sanction specified in this Clause;

37.2.2 no such modification, alteration or addition shall impose upon any Unitholder any obligation to make any further payments in respect of the Unitholder's Units or to accept any liability in respect of them.

38. BINDING EFFECT OF THIS DEED

Without prejudice to any other provision hereof, if any provision of this Deed is prohibited or unenforceable or rendered unenforceable, unlawful, invalid or illegal, such invalidity, illegality, unenforceability, prohibition or unlawfulness shall not to the extent permitted by law render invalid, unenforceable, unlawful, illegal or prohibited the other provisions of this Deed.

39. DISPUTE RESOLUTION

39.1 Any dispute arising out of or relating to or connected with any allegation of or actual breach of this Deed shall be resolved by mutual consultation and consent of the Parties within ten (10) Business Days of the occurrence of same.

39.2 Where a dispute cannot be mutually resolved by the parties within the period stipulated in Clause 39.1 above, any of the parties to this Agreement may within the said period, refer such dispute to arbitration in accordance with the provisions of the Arbitration and Conciliation Act Cap A18 LFN 2004 or any statutory re-enactment or modification thereof.

39.3 The arbitration panel shall consist of three (3) arbitrators, one appointed by the Fund Manager, a second arbitrator appointed by the Trustee. The two arbitrators shall jointly appoint a third arbitrator who shall preside over the Panel. Where the two (2) appointed arbitrators are unable to agree on the choice of the third arbitrator within two (2) Business Days of their own independent appointment, the choice of same shall be referred to the Chairman of the Nigerian Branch of the Chartered Institute of

Arbitrators, UK, who shall nominate the third arbitrator. The arbitral proceedings shall be held in Lagos, Nigeria, and shall be conducted in English language.

39.4 The arbitrators shall have a maximum period of ten (10) Business days following the parties' exchange of pleadings, to resolve the dispute; failing which the said dispute shall be referred to the SEC for resolution.

39.5 Any party aggrieved by the decision of the SEC reached in accordance with Clause 39.4 above may then refer the matter to the Investments and Securities Tribunal established in accordance with Section 289 of the ISA, for final resolution.

40. GOVERNING LAW

This Trust Deed shall be governed and construed in all respects in accordance with the laws of the Federal Republic of Nigeria

IN WITNESS WHEREOF the Fund Manager and the Trustee have caused their respective Common seals to be affixed on this Deed the day and year first above written.

The Common Seal of the within named
PAC ASSET MANAGEMENT LIMITED
was hereunto affixed
in the presence of:

_____ _____

DIRECTOR **SECRETARY**

The Common Seal of the within named
MAINSTREET BANK TRUSTEES LIMITED

was hereunto affixed
in the presence of:

_____ _____

DIRECTOR **SECRETARY**

FIRST SCHEDULE

Procedure for Meetings of Unitholders

1. 1.1 The Fund Manager shall in consultation with the Trustee or at the request of the Trustee in each year, call a general meeting. The Fund Manager may in the notice convening such meeting specify that the ordinary business of the meeting shall include the presentation of the audited accounts, the reports of the Fund Manager and the appointment and fixing of the remuneration of the Auditors.

1.2 The Trustee or the Fund Manager shall at the request in writing of the Unitholders holding not less than 25% in value of the Issued Units convene a meeting of Unitholders.

1.3 The Court on the application of a Unitholder where this Clause 1.2 has not been complied with and if satisfied that it is just and equitable to do so may at any time convene a meeting of the Unitholders. Such meeting shall be held at such

place as the Fund Manager or the Trustee shall determine or approve. Any director or other duly authorized official of the Trustee and its solicitors, and any director, secretary, solicitors or any other person authorized in that behalf by the Fund Manager may attend the meeting.

2. At least twenty one (21) days' notice (exclusive of the day on which the notice is served or deemed to be served and of the day on which the notice is given) of every meeting shall be given to the Unitholders in the manner provided by Clause 20 of this Deed. In addition, such notice shall be advertised in not less than two national daily newspapers. The notice shall specify the place, day and hour of the meeting and the terms of any resolution to be proposed at the meeting and shall give such further information [if any] as the Fund Manager and the Trustee shall think fit. A copy of the notice shall be sent by post or by hand delivery. The accidental omission to give or the non-receipt of any notice by any Unitholder shall not invalidate the proceedings at any meeting.

3. The following persons shall be entitled to receive notice of meetings of Unitholders:

   (i) every Unitholder;
   (ii) every person upon whom ownership devolves by reason of being a receiver, trustee, liquidator or Survivor of a Unitholder;
   (iii) the Fund Manager, that is, where the meeting is called by the Trustee and where a meeting is called by the Fund Manager, the Trustee shall be entitled to notice;
   (iv) the Custodian;
   (v) the Auditor; and
   (vi) the Commission.

4. 4.1 At any meeting, at least five (5) Unitholders present in person or by proxy, representing at least 25% ownership of the value of the Issued Units shall form a quorum for the transaction of business except for the purpose of passing a Special Resolution. The quorum for passing a Special Resolution shall be Unitholders present in person or by proxy representing not less than 75% in value of the Issued Units.

   4.2 No business shall be transacted at any meeting unless the requisite quorum is present at the commencement of business.

5. If within half an hour from the time appointed for the meeting a quorum is not present, the meeting if convened upon the requisition of Unitholders shall be dissolved. In any other case it shall stand adjourned to such day and time not being

less than fourteen [14] days thereafter and to such place as may be appointed by the Chairman. At such adjourned meeting, the Unitholders present in person or by proxy shall be a quorum for the transaction of business including the passing of Special Resolutions. At least seven [7] days' notice of any adjourned meeting of Unitholders shall be given as mentioned in Clause 19 of this Deed and such shall state that the Unitholders present in person or by proxy at the adjourned meeting whatever their number and the number of Units held by them will form a quorum.

6. A person nominated in writing by the Trustee shall preside as Chairman at every meeting and if no such person is nominated or if at any time in any meeting the person nominated shall not be present within one (1) hour after the time appointed for the holding of the meeting, the Unitholders present shall choose one of their members to be Chairman.

7. The Chairman may with the consent of any meeting at which a quorum is present and shall if so directed by the meeting adjourn the meeting from time to time and from place to place but no business shall be transacted at any adjourned meeting except business which might lawfully have been transacted at the meeting from which the adjournment took place.

8. Any resolution put to vote shall be decided on a show of hands unless a poll is (before or on the declaration of the result of the show hands) demanded by the Chairman, five (5) Unitholders present in person or by proxy or by one or more Unitholders present in person or by proxy holding in the aggregate (not less than 25%) in value of the Issued Units (other than Units of which the Fund Manager is the beneficial owner). If no demand for a poll is made then a declaration by the Chairman that a resolution has been carried unanimously or by a particular majority or lost shall be conclusive evidence of the fact without proof of the number, or proportion of the votes recorded in favor of or against such resolution.

9. On a show of hands every Unitholder who being an individual is present in person or by proxy or being a company is present by its duly authorized representative shall have one vote and on an equality of votes the Chairman shall be entitled to a casting vote in addition to the vote which he may be entitled to as a Unitholder and/or as the proxy of a Unitholder.

10. If a poll is duly demanded it shall be taken in such manner as the Chairman may direct save that a poll demanded on the election of a Chairman or on a question of adjournment shall be taken forthwith. A demand for a poll may be withdrawn at any time and its demand shall not prevent the continuance of the meeting for the

transaction of any business other than the question on which a poll has been demanded.

11. On a poll every Unitholder who is present in person or by proxy or being a company is present by its duly authorised representative or by proxy shall have one vote for every Unit held by him. A Unitholder entitled to more than one vote need not use all his votes or cast in the same way all the votes he uses and on an equality of votes the Chairman shall be entitled to a casting vote in addition to the votes which he may be entitled to as a Unitholder and/or as the proxy of a Unitholder.

12. The Chairman of the meeting at which a poll is to be taken, shall appoint two persons, one such person to be an employee at senior management level of the Registrar and the other a partner of the firm of Auditors or if a partner is unable to attend some senior employee nominated by a partner, to scrutinize the votes cast and to report thereon to him. The result of a poll shall be deemed to be the resolution of the meeting at which the poll was demanded.

13. In the case of joint Unitholders, the vote of the senior joint Unitholder who tenders a vote whether in person or by proxy shall be accepted to the exclusion of the votes of the other joint Unitholders and for this purpose seniority shall be determined by the order in which the names stand in the Register.

14. The instrument appointing a proxy shall be in writing under the hand of the appointer or of the attorney duly authorized in writing or if the appointer is a company either under its common seal or under the hand of an officer or attorney so authorized.

15. A person appointed to act as proxy need not be a Unitholder.

16. The instrument appointing a proxy and the power of attorney or other authority (if any) under which it is signed or a copy of such power of authority certified by a Notary Public shall be deposited at such places as the Trustee, or the Fund Manager with the approval of the Trustee, may in the notice convening the meeting direct or if no such place is appointed then at the registered office of the Fund Manager not less than forty eight (48) hours [or if the day appointed for such meeting or adjourned meeting is a Monday then not less than seventy two (72) hours]before the time appointed for holding the meeting or adjourned meeting at which the person named in the instrument proposes to vote and in default, the instrument of proxy shall not be treated as valid. No instrument appointing a proxy shall be valid after the expiration of twelve (12) months from the date stated to be the date of its execution.

17. An instrument of proxy may be in the following form or in such form, as the Trustee shall approve:

I/We _____ of _____ being a holder[s] of _____ Units in the PACAM Fixed Income Fund hereby appoint _____ of _____ as my/our Proxy to vote for me/us and on my/our behalf as he deems fit or for / against the Resolution or Resolutions for _____to be submitted to the meeting of the Unitholders of the said Fund to be held on the _____ day of _____200 [*]_____ and at any adjournment thereof.
As witness my / our hands or seals this day of 200[*].

Please delete "for" or "against": If no deletion is made, the proxy will be used in favour of the Resolutions. A Unitholder need not direct his proxy to use all his votes or to cast all his votes in the same way.

If a Unitholder desires to have his votes cast by a proxy in different ways, separate forms of proxy must be used and appropriate directions given in each form.

Additional Forms of proxy may be obtained from the Registrar.

18. A vote given in accordance with the terms of an instrument of proxy shall be valid notwithstanding the previous death or insanity or dissolution or winding up of the principal or revocation of the proxy or of the authority under which the proxy was executed or the transfer of the Units in respect of which the proxy is given provided that no intimation in writing of such death, insanity, dissolution, winding up, revocation or transfer shall have been received at the place appointed for the deposit of proxies or if no such place is appointed at the registered office of the Fund Manager before the commencement of the meeting or adjourned meeting at which the proxy is used.

19. A resolution passed at a meeting of Unitholders duly convened and held in accordance with the provisions of this Deed shall be binding upon all the Unitholders whether present or not present at the meeting and each of the Unitholders and the Trustee and the Fund Manager shall subject to the provisions for their indemnity contained in this Deed be bound to give effect to it.

20. The expression "Special Resolution" when used in this Deed means a resolution passed at a meeting of the Unitholder duly convened and held in accordance with the provisions of this Deed in relation to meetings for the passing of Special

Resolutions, the notice of which shall state that a resolution will be proposed as a Special Resolution which shall be carried by a majority consisting of not less than 75% of the Unitholders present in person or by proxy (or being a company by its duly authorized representative as aforesaid) and voting at the meeting by a majority consisting of not less than 75% in number of the votes cast.

21. Minutes of all resolutions and proceedings at every meeting shall be made by the Fund Manager and duly entered in books to be provided from time to time for that purpose by the Trustee. Any such minutes if purporting to be signed by the Chairman of the meeting shall be conclusive evidence of the matters stated in it and until the contrary is proved, every such meeting in respect of the proceedings of which minutes have been made shall be deemed to have been duly held and convened and all resolutions passed at the meeting to have been duly passed.

22. Any corporation which is a Unitholder may by writing under the hand of a duly authorised officer authorise such person as it thinks fit to act as its representative at any meeting of the Unitholders and the person so authorised shall be entitled to exercise the same power on behalf of the corporation which he represents as that corporation could exercise if it were an individual Unitholder

SECOND SCHEDULE

FORM OF THE FUND STATEMENT

Statement No. _____ No. of Units _____

PACAM FIXED INCOME FUND
(Authorised and Registered by the Securities and Exchange Commission as a Unit Trust Deed)

Issued pursuant to Clause 5.3 of the Trust Deed dated the___day of _____2016.

THIS IS TO CERTIFY that _____ of _____ is/are the registered holder[s] of [*insert no. of units*

held] Units of [₦.] each in the PACAM Fixed Income Fund which is constituted by a Trust Deed dated the _____ day of _____ between PAC Asset Management Limited as Fund Manager AND Mainstreet Bank Trustees and Asset Management Company Limited as Trustee of the Fund and is issued subject to and with the benefit of the provisions and conditions contained in the said Trust Deed.

GIVEN under the Common Seal of PAC Asset Management Limited this [.] day of [.] 2016

The Common Seal of the Fund Manager was hereunto affixed in the presence of:

Director: _____

Secretary: _____

NOTE

This Statement must be surrendered before any transfer of the whole or any part of the Units comprised herein can be registered. All correspondence regarding this holding should, except otherwise stated, be addressed to the Fund Manager: _____.

THIRD SCHEDULE

FORM OF THE REDEMPTION NOTICE

PACAM FIXED INCOME FUND
(Registered and Authorised by the Securities and Exchange Commission as a Unit Trust Scheme)

Trustee: MAINSTREET BANK TRUSTEES and ASSET MANAGEMENT COMPANY LIMITED
Manager: PAC ASSET MANAGEMENT LIMITED
I/We hereby give notice to redeem …….. Units in the above-captioned Fund, represented by Fund Statement No(s) …….. dated the ……. day of …… 20…….. The said Units are currently registered in the name of …… Furthermore, I/We consent to the transfer of the Units to the Trustee effective on the date stated below and request that the proceeds of the redemption of the Units be paid to the above-named Unitholder as follows:

(1) Direct Credit:	(2) Cheque Payment
Name of Bank:	Address of Unitholder
Branch/Address of Bank:	
Account Number:	

Dated the …… day of …… 20…..
Signature:
Capacity:
Name:
Address:

SECOND SUPPLEMENTAL TRUST DEED

TO THE

PACAM FIXED INCOME FUND

BETWEEN

PAC ASSET MANANGEMENT LIMITED (RC 69528")
(Fund Manager)

AND

GTL TRUSTEES LIMITED (RC **180089**)
(Trustee)

THE TRUSTEE WILL BE LIABLE FOR BREACH OF ITS DUTIES WHERE IT FAILS TO CARRY OUT ITS RESPONSIBILITIES UNDER THIS TRUST DEED OR REPORT A BREACH OF THE TERMS OF THIS TRUST DEED TO THE SECURITIES AND EXCHANGE COMMISSION

Dated this.....day of 2020

ALLIANCE
LAW FIRM

71 Ademola Street, South West, Ikoyi, Lagos.
☎: 234-1-9035352-5, 234-1-2707471-2, 234-1-4604092, 234-1-4795950
Facsimile: 234-1-9035356
Email: info@alliancelf.com

THIS SECOND SUPPLEMENTAL TRUST DEED ("Deed") is made the … day of …….. 2020

BETWEEN

PAC ASSET MANAGEMENT LIMITED (RC No. 695281), a private limited liability company registered with Securities and Exchange Commission and whose registered office is at 8A, Elsie Femi Pearse, Victoria Island, Lagos, Nigeria (hereinafter called "**the Fund Manager" or "the Manager"** which expressions shall except where they are inconsistent with the context include the Fund Manager for the time being of the Fund hereby constituted) of the one part;

AND

GTL TRUSTEES LIMITED (RC No. 180089), a private limited liability company registered with the Securities and Exchange Commission and whose principal place of business is at 5th Floor St. Nicholas House 2 – 10 Hospital Road, Lagos Island Lagos state, Nigeria (hereinafter called "the Trustee" which expression shall except where it is inconsistent with the context include the Trustee for the time being of the Fund hereby constituted) of the other part.

IN THIS DEED both the Fund Manager and Trustees may be referred to as Parties collectively or Party severally

WHEREAS:

A. The PACAM Fixed Income Fund is an open-ended Collective Investment Scheme authorized and registered in Nigeria by the Securities and Exchange Commission ("SEC") under the Investment and Securities Act ("ISA") 2007.

B. This Deed is supplemental to:

   (i) The Principal Trust Deed dated 7th April, 2016, made between the Fund Manager and the Trustee (hereinafter referred to as the "Principal Trust Deed")

   (ii) The Supplemental Trust Deed dated 3rd October 2017, made between the Fund Manager and the Trustee (hereinafter referred to as the "First Supplemental Trust Deed")

C. This Second Supplemental Trust Deed is entered in accordance with the Special Resolution passed at the Meeting of the Unit Holders (as defined below)

D. The Fund Manager has sought and the Trustee has consented, subject to the terms and conditions of this Second Supplemental Trust Deed to modify the provisions of the Trust Deed as set out in this Second Supplemental Trust Deed.

THIS DEED WITNESSETH AS FOLLOWS:

1.0 INTERPRETATION

1.1 Save for as provided herein all words and expressions defined or given a particular meaning in the Trust Deed shall, where the context so requires or admits have the same meaning in this Second Supplemental Trust Deed.

1.2 In this Second Supplemental Trust Deed;

"Affiliate of a Related Party" means an affiliate of a related party having regards to a registered Collective Investment Scheme shall be any person, natural or corporate falling within the categories of the parties listed below:

a) Companies that share personnel of the Fund Manager who hold administrative, management and Board position in the Company, in addition to front office staff engaged in investment management function of the CIS;

b) Companies that share personnel of the Trustee Company who holds administrative, management and Board position in the Company;

c) Companies that share personnel of the Custodian Bank or Central Depositary who holds administrative and management position in the Bank or Depositary;

d) Companies that are affiliates of the Fund Manager, Trustees or Custodians within the same financial group or another group;

e) Key persons undertaking asset management, investment analysis and other key front office tasks that impact or likely to impact the Fund;

f) Persons capable of exerting influence on management and Board decisions in related parties and their affiliates;

g) Other Collective Investment Schemes managed by: i. the Fund Manager; ii. an affiliate of the Fund Manager and/or companies belonging to the same group as the Fund Manager; iii. an affiliate of the Trustee and/or companies belonging to the same group as the Trustee; iv. a Company whether as affiliate, subsidiary or parent of the Fund Manager, Trustees or Custodian whose securities are unlisted or listed on a recognized securities Exchange;

h) Sponsor, administrator or managers of electronic/digital platforms which serve as channel for subscription to or redemption from, of units of an authorized CIS;

i) Companies which share interlocking directorship with the Fund Manager, Trustee or Custodian;

j) Companies that engage in principal transactions with the Fund Manager, Trustee or Custodian;

k) Companies/Entities with at least 5% shareholding or beneficial ownership in the Fund Manager, Trustee or Custodian;

l) Any other person(s) identified by the Fund Manager, Trustees to the Fund, the Custodian or the Commission as an affiliate of a related party.

"Benchmark" means the 5 Year Sovereign Bond duly recognised by the Commission and published from time to time on the FMAN Platforms or other authorised platforms.

"CIS" means Collective Investment Scheme

"FMAN" Fund Managers Association of Nigeria

"Principal Transaction" means a transaction which, singularly or in aggregate of over a 12-month period equals five percent (5%) or more of the Fund's net asset value (NAV), in which the Fund Manager of an authorized Collective Investment Scheme acting on behalf of the Collective Investment Scheme enters with an affiliate of a related party to a Collective Investment Scheme as defined under the SEC Rules.

"Related Party" means having regards to a registered Collective Investment Scheme shall be the Trustee, Fund Manager and Custodian of such Collective Investment Scheme.

"Related Party Transaction" means transactions between the affiliates of related parties and the Fund Manager acting on behalf of a Collective Investment Scheme.

"SEC Rules" means the Rules of the Securities and Exchange Commission as amended from time to time

"Special Resolution" means the Special Resolution passed at a duly convened and constituted Meeting of the Unit Holders held on the.....day of..... 2020, pursuant to Clause 37 of the Trust Deed, authorizing the modification of certain provisions of the Trust Deed and the execution of this Second Supplemental Trust Deed to reflect the modification thereto.

2.0 AMENDMENTS OF THE PRINCIPAL TRUST DEED

With effect from the above first written, this Deed amends the Principal Trust Deed on the terms set out herein.

2.1 BENCHMARK

The Principal Trust Deed is amended by the insertion of a new clause **38 (Benchmark)** which shall provide as follows:

The performance of this Fund shall be measured or benchmarked against the 5 Year Sovereign Bond duly recognised by the Commission and published from time to time on the FMAN Platforms or other authorised platforms.

3.0 FURTHER INVESTMENT RESTRICTIONS

The Principal Trust Deed is amended by the insertion of a new clauses 9.3, 9.4 and 9.5 which shall provide as follows:

3.1 9.3 No part of the Fund shall be invested in any units or securities of any collective investment scheme or any in-house investments of the Fund Manager, the Trustee or their associates ***except as permitted by the Commission.***

3.2 9.4 The Fund Manager may invest in money market instruments issued by the Affiliates of a Related Party to a CIS only where the following conditions have been satisfied:

(a)

i. that the Money market instruments issued by a Related Party Affiliate shall not be below investment grade rating of A- and at yields better than prevailing market rates;

ii. that consent of the Trustees for compliance with pre- conditions for such investment shell be sought and obtained;

(b) The investment in money market instruments of a Related Party's Affiliates shall not exceed the following thresholds;

iii. Fixed Income Funds – Not more than 10% of total value of money market allocation;

c) The Trustee shall ensure and report to the Commission compliance with limit set in (b) above. Provided that the Fund Manager is prohibited from undertaking investments on behalf of a CIS in the Fund Manager's, Custodian's and Trustee's assets/instruments.

3.3 9.5 The Fund Manager shall not invest the assets of the Fund in money market instruments of a related party's affiliates provided that:

i. Money market instruments issued by such affiliate shall not be below investment grade rating of A- and at rates and conditions better than that prevailing in the market;

ii. The consent/approval of the Trustees for compliance with pre-conditions for such investment has been sought and obtained;

iii. Such investment shall not exceed 2% of 10% allowable exposure to liquid assets;

iv. The Trustee shall ensure and report to the Commission compliance with limit set in (i) above

4.0 MANAGEMENT OF CONFLICT OF INTEREST IN RELATED PARTY TRANSACTIONS

The Principal Trust Deed is amended by the insertion of a new clause 39 which shall provide as follows:

39.1 The Fund Manager shall establish a conflict of interest policy and procedure for the management of real and potential conflict of interest between the Fund, the Fund Manager, Trustees, Custodians and Affiliates of each

39.2 All conflict of interest policy and procedure for the management of real and potential conflict of interest shall mandate that all services or transactions undertaken by the Fund Manager on behalf of the Fund with the Affiliate of a Related Party shall be done at arm's length and at terms based on cost, price, and prevailing market conditions in the interest of the Fund;

39.3 All conflict of interest policy and procedures for the management of real and potential conflict of interest shall mandate that any service contract between a Related Party and an Affiliate of a Related Party with potential of conflict of interest between a Fund and Affiliates of Related Parties of the Fund be fully disclosed to the Commission.

39.4 The Fund Manager shall be required to disclose to the Commission having obtained the Trustees consent for purchases of securities on behalf of the Fund by the Fund Manager in which its Affiliate acts as Issuing House/Underwriter to an offer

39.5 The Fund Manager shall be required to disclose to the Commission purchase of securities where the Fund Manager and Trustee have;

39.5.1 shown the transaction to be in the best interest of the Collective Investment Scheme

39.5.2 shown the transaction to be carried out at arm's length

39.5.3 made full disclosure to the Commission on transaction cost and terms with the Affiliate of a Related party

5.0 COVENANT TO APPROVE AND INSTITUTE GUIDELINES, POLICIES AND PROCEDURES FOR MANAGING CONFLICT O FINTEREST

The Principal Trust Deed is amended by the insertion of a new clause 40 which shall provide as follows:

40.0 The Fund Manager covenants that its Board shall:

a) Approve and institute guidelines, policies and procedures for managing conflict of interest on related party transactions for Collective Investment Schemes and all asset management operation;

b) Identify and manage real and potential conflicts of interest in its overall asset management operations including its management of authorized CIS in line with the policies and procedures established in (a);

c) Strictly enforce policies on conflict of interest management and guidelines on related party transactions undertaken for and on behalf of an authorized CIS;

d) Report/disclose to the Commission (in its quarterly returns), and Trustees of all related party transactions, service contracts/agreements; fees, commissions, transaction costs arising from transactions or service provision with related parties of the Fund Manager and showing comparable best market price and cost to support that the transaction and service were carried out at terms and prevailing conditions in the best interest of the CIS;

iii. Maintain a record of all transactions and service executions undertaken with the affiliate of a related party on behalf of the CIS.

6.0 CONSENT TO PRINCIPAL TRANSACTIONS

The Principal Trust Deed is amended by the insertion of a new clause 41 which shall provide as follows:

41.1 The Fund Manager shall be required to obtain the Trustees consent in respect of:

a) Principal Transactions on behalf of the Fund by the Fund Manager with its Related Party Affiliate as counter party or vendor to ensure that cost, terms and conditions of the transaction are carried out at better terms and price than prevailing market condition;

b) Principal Transactions for sales or purchase of securities in the secondary market where the Affiliate of a Related Party acts as broker or

intermediary for such sale or purchase showing the price or cost at which the transaction was made as compared to the highest and lowest price for the similar transaction in the market for that day.

7.0 DISCLOSING OBLIGATION OF THE FUND MANAGER ON RELATED PARTY TRANSACTIONS

The Principal Trust Deed is amended by the insertion of a new clause 42 which shall provide as follows:

42.1 The Fund Manager shall file periodic reports (quarterly and annually) disclosing the following:

a) All service contract with Affiliates of Related Parties such as securities brokerage, advisory, marketing fees and aggregate cost of such services to the Fund in absolute amount and as percentage to total operating cost;

b) Investment/portfolio holdings in securities, instruments issued by affiliates of related parties showing aggregate value and percentage composition to the Fund net asset value;

c) Principal Transaction (purchase or sale) of securities and assets between the Fund Manager of the authorized Fund and Affiliates of Related Parties showing purchase cost or sale price, best prevailing market price or cost at the time of transaction, evidence that the transaction was carried out at best execution price or under terms same or better than prevailing market condition at time of transaction;

d) Principal Transactions (purchase or sale) of securities and assets between the Fundby the Fund Manager acting on its behalf, and a client of the Fund Manager under discretionary portfolio management service of the Fund Manager or Affiliate of the Fund Manager, showing price or cost of the transaction and best market price or cost of similar transaction for that day;

e) A primary market transaction involving the subscription to securities offerings at the primary market by the Fund Manager of the Fund in which an Affiliate of a Related Party acts as Issuing House/Underwriter disclosing the number of units/shares and value of securities subscribed for, percentage composition subscribed and total subscription of the offer.

8.0 REMUNERATION OF THE FUND MANAGER, TRUSTEE AND THE ADMINISTRATION OF THE FUND

8.1 Clause 23.1 of the Principal Trust Deed is hereby modified to read;

23.1 The Fund Manager shall be entitled to receive out of the Income generated during the year to which the payment relates for its own account and until termination of the Fund an annual Management Fee no more than 3.5% of the Net Asset Value of the Fund.

23.2 Without prejudice to clause 23.1, the management fee payable to the Fund Manager quarterly and in arrears shall be 1% of the Net Asset Value of the Fund.

23.3 An incentive fee no more than 20% of the returns above the benchmark shall be payable to the Fund Manager provided that:

(i) the Fund's stated benchmark shall be reflective of the nature of the Fund and its underlying instruments;

(ii) the Fund is actively managed;

(iii) where a Fund underperforms its benchmark, the management fee charged shall decrease by the same percentage by which the Fund underperformed;

(iv) the fund performance must have reached a high-water mark which is when the Fund's value (per unit basis) exceeds its highest historical record.

9.0 INVESTMENT COMMITTEE

9.1 Clause 4.1 of the Principal Trust Deed is hereby modified to read;

4.1 The Fund shall have an Investment Committee, which shall hold investment committee meetings quarterly, be responsible for reviewing and advising the Fund Manager on any proposed investment decisions to purchase, sell or alter any investment made by it under this Trust Deed.

10. ASSET ALLOCATION

10.1 Clause 8.3 of the **Principal Trust Deed is hereby modified to read;**

"The asset Allocation Policy of the fund shall be as follows:

Proposed Instruments	**Lower Limit (%)**	**Weighted (%) Upper Limit**	**Targets Weight (%)**
Bonds & Other debt Instruments	70	90	80
Other Fixed Income Securities	10	30	20

11.0 DESCRIPTION AND OBJECTIVE OF THE FUND

11.1 Clause 7.2 of the Principal Trust Deed is hereby modified to read;

7.2 The main Investment Objective of the Fund shall be income generation

12.0 INCORPORATION OF THE PRINCIPAL TRUST DEED

12.1 subject to the terms herein all provisions terms and conditions contained in and subsisting under the Principal Trust Deed shall remain valid and be deemed to have been incorporated into this Second Supplemental Trust Deed and shall apply mutatis mutandis to this Deed and be observed and performed by the Parties hereto in the same manner as if they were set out herein in extenso

IN WITNESS WHEREOF the parties hereto have hereunto caused their respective Common Seals to be affixed the day and year first above written.

THE COMMON SEAL of the within named Company, **PAC ASSET MANAGEMENT LIMITED** was hereunto affixed in the presence of

.....
DIRECTOR

.....
DIRECTOR

THE COMMON SEAL of the within named Trustees, **GTL TRUSTEES LIMITED** was hereunto affixed in the presence of

.....
DIRECTOR

.....
DIRECTOR